COVER SHEET

SEC Registration Number

A N 0 9 2 0 0 2 5 5 7

COMPANY NAME

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

PRINCIPAL OFFICE *(No. / Street / Barangay / City / Town / Province)*

6th to 10th Floors, PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City

Form Type	Department requiring the report	Secondary License Type, If Applicable
17-Q	MSRD	N/A

COMPANY INFORMATION

Company's Email Address	Company's Telephone Number	Mobile Number
pird@pse.com.ph	(02) 8876-4888	–

No. of Stockholders	Annual Meeting (Month / Day)	Fiscal Year (Month / Day)
319	First Saturday of July	12/31

CONTACT PERSON INFORMATION

The designated contact person ***MUST*** be an Officer of the Corporation

Name of Contact Person	Email Address	Telephone Number/s	Mobile Number
Ms. Omelita J. Tiangco	omelita.tiangco@pse.com.ph	(02) 8876-4831/4805	—

CONTACT PERSON's ADDRESS

9th Floor, PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City

NOTE ***1 :*** *In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with informatio7n and complete contact details of the new contact person designated.*

2 : *All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.*

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025

2. SEC Identification Number AN092002557 3. BIR Tax Identification No. 002-333-130-00000

4. Exact name of issuer as specified in its charter THE PHILIPPINE STOCK EXCHANGE, INC.

5. Philippines
Province, Country or other jurisdiction of incorporation or organization

6. (SEC Use Only)
Industry Classification Code:

7. 6th to 10th Floors, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City, Taguig City
Address of principal office

1634
Postal Code

8. (02) 8876-4888
Issuer's telephone number, including area code

9. ______
Former name, former address, and former fiscal year, if changed since last report.

10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Stock	82,267,875

11. Are any or all of these securities listed on a Stock Exchange.

Yes [/] No [ ]

If yes, state the name of such stock exchange and the classes of securities listed therein:

7

Philippine Stock Exchange, Inc. common

1. Check whether the issuer:

(a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17.1 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports);

Yes [/] No [ ]

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [/] No [ ]

13. Aggregate value of the voting stock held by non-affiliates: N/A

PART I – FINANCIAL INFORMATION

Item 1. Financial Statements

The consolidated financial statements of The Philippine Stock Exchange, Inc. ("PSE", or "Exchange", or "Parent Company") and its subsidiaries, Securities Clearing Corporation of the Philippines ("SCCP"), Capital Markets Integrity Corporation ("CMIC"), Premier Software Enterprise, Inc. ("Premier"), PSE Realty, Inc. ("PRI") and Philippine Dealing System Holdings Corp. ("PDSHC"), (collectively referred to as the "Group" or "PSE Group"), have been prepared in compliance with Philippine Financial Reporting Standards (PFRS). Also, the accounting policies and methods of computation used in the audited financial statements as of, and for the year ended December 31, 2024, were consistently applied in the interim financial reports, where appropriate.

Acquisition and Consolidation of PDSHC

On December 27, 2024, the Exchange initiated the acquisition of additional equity interest in Philippine Dealing System Holdings Corporation (PDSHC) through a series of Share Purchase Agreements. Prior to these transactions, the Exchange held a 20.98% stake in PDSHC, which was previously classified as an investment in an associate.

By December 31, 2024, the Exchange had acquired 32.36% equity interest, bringing its total ownership to 53.34%. This majority stake granted the Exchange control over PDSHC, resulting in the consolidation of PDSHC's financial position into the Exchange's consolidated financial statements.

Between January 1, 2025 and June 30, 2025, the Exchange further acquired an additional 38.72% equity interest, raising its total ownership to 92.06%. This acquisition qualified as a business combination under PFRS 3 and led to the full consolidation of PDSHC's financial performance into the PSE Group's financial statements. As of June 30, 2025, the remaining 7.94% equity interest in PDSHC is held by non-controlling interests.

The consolidation of PDSHC significantly impacted the Group's financial metrics, contributing to notable increases in total assets, liabilities, revenues, and expenses compared to the same period in the previous year. As of September 30, 2025, the equity interest in PDSHC held by non-controlling interests remains at 7.94%.

Attached are the interim financial statements for and as of the 3rd quarter of 2025 and for the nine-month period ended and as of September 30, 2025.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Key Performance Indicators

1. **Financial Performance**

	Period Ended September 30		
	2025	**2024**	**% Change**
Operating Revenues	₱2,005,478,775	₱1,043,346,372	92.22
Cost and Expenses	1,063,279,641	618,465,762	71.92

Other Income/(Expense) – net	81,516,739	326,172,638	-75.01
Income before Income Tax	1,023,715,873	751,053,249	36.30
Net Income	738,814,180	640,249,256	15.39
Basic Earnings Per Share	₱ 8.34	₱ 7.83	
Diluted Earnings Per Share	₱ 8.34	₱ 7.83	

For the period ended September 30, 2025, the Group reported a consolidated net income after tax of ₱738.81 million, reflecting an increase of 15.39% or ₱98.56 million from ₱640.25 million in the same period last year. Operating revenues grew significantly by 92.22% or ₱962.13 million. However, this growth was partly reduced by a 71.92% or ₱444.81 million rise in total costs and expenses, as well as a 75.01% or ₱244.66 million decline in other income—primarily attributable to the decline in the fair value of financial assets and higher interest expenses. The details are further discussed below.

The increase in operating revenues of ₱962.13 million was primarily driven by a 103.42% or ₱350.81 million surge in trading-related fees and a 24.93% or ₱101.95 million rise in listing-related fees. Trading-related fees rose by ₱350.81 million, largely due to transaction fees from the subsidiaries of PDSHC, the Philippine Depository & Trust Corp. (PDTC) and the Philippine Dealing & Exchange Corp. (PDEx) – and 8.04% or ₱12.61 million increase in market data revenues. The growth in listing-related revenues was attributable to 55.65% or ₱105.19 million higher listing maintenance fees due to higher rates which took effect on January 1, 2025, partially offset by 1.47% or ₱3.24 million lower listing fees. Notably, depository securities account fees from PDTC contributed ₱428.41 million to the overall revenue growth.

For the period ended September 30, 2025, total expenses – consisting of cost of services and administrative expenses – amounted to ₱1.06 billion, reflecting an increase of ₱444.81 million or 71.92% from ₱618.47 million in the same period last year. Cost of services – 60.56% of total expenses – amounted to ₱643.97 million was higher by 114.27% or ₱343.43 million compared to ₱300.54 million in the prior year. Cost of services are expenses directly related to the Group's operations such as compensation and other related staff costs, repairs and maintenance, depreciation, taxes and licenses, and professional fees. Administrative expenses reached ₱419.31 million, up by 31.89% or ₱101.38 million from ₱317.92 million last year.

The major components of total expenses, which made up 94.49% or ₱1,004.73 million included:

- compensation and other related staff costs - 31.77% or ₱337.16 million
- repairs and maintenance - 18.47% or ₱196.34 million
- depreciation - 18.03% or ₱191.69 million
- professional fees - 14.89% or ₱158.29 million
- taxes and licenses - 6.62% or ₱70.34 million
- occupancy costs - 4.79% or ₱50.90 million.

The primary drivers of the increase in total expenses are discussed in the analysis portion of the report.

Other income decreased by 75.01% or ₱244.66 million, primarily attributable to the decline in the fair value of financial assets by 131.85% or ₱172.08 million, from a ₱130.51 million mark-to-market gain in the same period last year to a ₱41.57 million mark-to-market loss in the current period. This adverse movement reflects heightened volatility in domestic equity markets driven by geopolitical tensions, global trade uncertainties, and the domestic infrastructure scandal, among others.

The decline in other income was further compounded by ₱39.15 million higher interest expenses, of which ₱38.22 million pertained to the ₱900 million term loan obtained during the period to partially finance the acquisition of PDSHC's shares. In the comparative period, the Group also recognized a ₱39.40 million share in the net income of PDSHC, corresponding to its 20.98% equity interest. Following the acquisition of additional ownership interests, PDSHC ceased to be accounted for as an associate, and the Group no longer recognizes equity share in its net income.

Further, the ₱5.62 million (4.02%) increase in interest income and the ₱4.04 million (19.61%) increase in dividend income during the period partially mitigated the decline in other income, softening the overall impact of the aforementioned factors.

The following shows the computation of earnings per share (EPS):

For the nine-month periods ended September 30, 2025 and 2024:

	2025	**2024**
Net income* (a)	**₱683,134,056**	₱640,759,409
(b)Adjusted weighted average shares	**81,951,153**	81,849,113
(c)Adjusted weighted average shares - diluted	**81,951,153**	81,849,113
EPS:		
Basic (a/b)	**₱8.34**	₱7.83
Diluted (a/c)	**₱8.34**	₱7.83

*Attributable to Equity Holders of the Parent Company

For the Last 12 Months:

	2025	2024
Net income (a)	**₱1,249,592,141**	₱837,827,189
(b)Adjusted weighted average shares	**81,951,153**	81,849,113
(c)Adjusted weighted average shares - diluted	**81,951,153**	81,849,113
EPS:		
Basic (a/b)	**₱15.25**	₱10.24
Diluted (a/c)	**₱15.25**	₱10.24

2. Corporate Governance and Sustainability Initiatives

In support of its advocacy and market-wide efforts to raise corporate governance standards in the Philippines, the Company conducted several initiatives and continued to pursue activities that are intended to strengthen its own corporate governance as a publicly listed company.

NZFSPA Progress Report 2024

In December 2023, the PSE became the third Asian exchange to commit to, and become a member of, the Glasgow Financial Alliance for Net Zero ("GFANZ") and the Net Zero Financial Service Providers Alliance (NZFSPA). Early in 2025, PSE published its inaugural NZFSPA Progress Report outlining its net zero targets and achievements, including the roadmap to accomplish time-bound targets. The net zero target for Scope 1 and 2 is to reduce our greenhouse gas footprint by 54.6% by 2033, from a 2023 baseline year.

ESG 101: A Reporting Guidebook

The Exchange, in its dual role as listed company and self-regulatory organization, recognizes that Philippine corporates need guidance when it comes to sustainability disclosures. A strategic initiative of the Exchange was to publish a guidance document on sustainability reporting and disclosures. For this guidance material, which is published in PSE website, the Exchange closely collaborated with the United Nations Sustainable Stock Exchanges (UN SSE) Initiative to create a guidebook that is credible, data-driven, and true to the Philippine business context. This is in line with PSE's commitment to build a sustainable capital market.

ASEAN Interconnected Sustainability Ecosystem Request for Information

The PSE, along with its peer exchanges in ASEAN (SGX Group, Bursa Malaysia, Indonesia Stock Exchange, and the Stock Exchange of Thailand), issued a Request for Information in February 2025 in relation to the envisioned Interconnected Sustainability Ecosystem. The initiative aims to build a Centralized Sustainability Data Infrastructure allowing users to access material sustainability information with ease. The initiative's second objective is to build a Digital Marketplace for Technology-based Sustainability Solutions. This will allow over 4,000 public listed companies (PLCs) and all their suppliers to access plug-and-play or modular products, enhance reporting processes, and connect with solution providers across Southeast Asia.

The ESG Working Group of the ASEAN Exchanges held a briefing for interested solution providers, credit bureaus, technology firms, information vendors, and consultants at the 38th ASEAN Exchanges CEOs Meeting.

This project is ongoing.

2025 Bell Ringing for Gender Equality

On March 7, 2025, The PSE joined 124 member-organizations of the World Federation of Exchanges ("WFE") in raising awareness on the importance of gender equality and women empowerment through the annual Ring the Bell for Gender Equality program, organized by the WFE, UN SSE, UN Global Compact, and IFC. Broadcast journalist Karen Davila, who is also UN Women Philippines' National Goodwill Ambassador, joined PSE officers in the bell ringing event. This year marks the fifth anniversary of PSE's signing of the Statement of Support for the Women's Empowerment Principles (WEPs), which provides guidance to business on how to advance gender equality and women's empowerment.

IFRS Training

The PSE organized a capacity-building webinar that tackled how companies can apply the IFRS Sustainability Disclosure Standards into their reporting practices. This webinar, which took place on May 29, 2025, was developed to help companies report in accordance with the IFRS S1 (Sustainability-related Financial Disclosures) and IFRS S2 (Climate-related Disclosures), providing sample disclosures from other companies from the Philippines and around the world. The training was organized in partnership with the United Nations Sustainable Stock Exchanges (UN SSE) Initiative.

Launch of the Model Guidance on Sustainability for SMEs

In 2024, the PSE was appointed as Co-Chair for a UN SSE Advisory Group on the development of a model guidance document on SMEs' adoption of sustainable business practices. On June 17, 2025, the UN SSE formally launched the guidance document. At the launch, PSE President and CEO, Ramon S. Monzon, gave the opening remarks. The model guidance follows the UN SSE's four-step process for SMEs to integrate sustainability into their businesses: Prepare, Align, Implement, and Communicate.

The advisory group's co-chair was the Amman Stock Exchange, and the group was composed of 35 organizations, most of which were stock exchanges.

Seminar on carbon emissions among companies in the extractive industries

The PSE participated in a knowledge-sharing session organized by the Department of Finance through the Philippine Extractive Industries Transparency Initiative (PH-EITI). The seminar, entitled "Carbon Clarity: Carbon Emissions Reporting in the Extractive Sector", tackled the need for sustainable business practices among companies operating within the mining and oil & gas sectors in the Philippines. PSE Chief Operating Officer, Atty. Roel A. Refran, discussed sustainability reporting regulations in the Philippines, including the 2020 Philippine Mineral Reporting Code (PMRC) and its Implementing Rules and Regulations. The PMRC and its IRR require covered companies to disclose specified sustainability issues in a Technical Report, subject to a materiality assessment, with the sign-off of an Accredited Competent Person (ACP).

Tree Nurturing Program

In an effort to lead by example and to offset operational carbon emissions, employees of the PSE Group, including employees from PDEx and PDTC, planted 1,000 trees at the UP Laguna Quezon Land Grant in Siniloan, Laguna. The program was undertaken in partnership with Fostering Education & Environment for Development, Inc. (FEED). This year's tree planting program is an improvement from previous years, where the PSE planted around 300 trees every year. On top of striving for efficiency in its operations, the PSE will aim to plant more trees over the coming years and explore more nature-based solutions to the climate crisis.

UN SSE workshop on Gender Equality

On July 2 and 4, 2025, the PSE collaborated with the United Nations Sustainable Stock Exchanges Initiative (UN SSE) to offer a training on gender equality for the benefit of publicly-listed companies in the Philippines. The two-day workshop covered challenges in gender equality, the business risks associated with sectoral discrimination, and the benefits of systemic inclusivity in our organizations. At the workshop, we featured the best practices of some organizations in implementing gender-inclusive policies. Our speakers included representatives of UN SSE, the Luxembourg Green Exchange, EDGE Certification Foundation, and Bloomberg. Respectively, the guest speakers spoke on gender-lens investing, gender standards & certifications, gender bonds, and gender equality scoring.

Completion of PSE's Materiality Assessment

In Q3 of 2025, the Exchange completed its Materiality Assessment. The Exchange undertook this study to know exactly which sustainability issues are most relevant to the Exchange and its stakeholders, given the company's business model and role in the economy. We used a double materiality approach where we considered both financial materiality and impact materiality of various sustainability issues. Our study concluded with a total of 28 material sustainability topics, with varying priority tiers, where two issues fall under Environmental, eleven fall under Social, and fifteen fall under Governance.

3. Compliance

Compliance with Data Privacy Act of 2012

The National Privacy Commission (NPC) renewed the registration of the PSE until July 28, 2026. The PSE Seal of Registration issued by the NPC was uploaded in the websites of the PSE, PSE Electronic Disclosure Generation Technology (PSE EDGE), PSE Electronic Allocation System (PSE EASy), PSE Equities Information Platform (PSE EQUIP), and PSE Academy, aside from being displayed at the PSE reception desk at the main entrance of the PSE Tower. The PSE Privacy Policy was also updated and this was uploaded in the foregoing websites.

4. Risk Management

Given its vital role in the operation of a stable and efficient capital market, and in line with its goals of being a world-class exchange, the Exchange continued to make risk management a fundamental part of its strategy development and execution, business operations, and effective corporate governance. The implementation of Enterprise Risk Management, Business Continuity Management, and Information Security Management are on-going.

Enterprise Risk Management

The Exchange will continue with its commitment to cultivating a proactive risk culture in the workplace such as the implementation of the PSE Risk Awareness and Culture Enhancement initiative. The Exchange continuously conducts enterprise-wide risk identification, assessment, prioritization, treatment, and reporting, ensuring that all outstanding risks—including those related to the new 3-year strategic initiatives launched in 2024—are effectively mitigated and regularly monitored. Enterprise risk management is embedded in the new hire onboarding program, with ongoing risk management training provided to all employees to strengthen awareness and capability across the Exchange. The Risk Appetite, Capacity and Tolerance Framework is in development which integrates the Enterprise Risk Management Framework with the Business Continuity Management System and Information Security Risk Management System. The Exchange is committed to continuously improve the effectiveness of the Enterprise risk management framework to align with industry standards and best practices.

Business Continuity Management

The Exchange continuously tests the effectivity of the business continuity plans covering different disruptive event scenarios, with the continued implementation of the PSE Risk Pulse, a risk advisory during disruptive risk events, such as adverse weather events, where it provides information on instructions, news, updates, impact details and emergency contacts. Furthermore, the Exchange will continue to test other disruptive event scenarios in the succeeding business continuity exercises. Business continuity management is integrated into the onboarding program for the new hires and trainings are being provided to the employees. The Exchange is committed to continuously improving the effectiveness of the Business continuity management system to align with industry standards and best practices by updating its Business Continuity Management Framework.

Information Security Risk Management

The Exchange is committed to the continuous development and effective implementation of its information security management system to provide reasonable and appropriate security controls for protecting the Exchange's information assets from unauthorized access, modification, destruction, and disclosure. Its Information Security Awareness Program promotes education for PSE employees and its subsidiaries through the periodic cascade of awareness materials and activities. The Exchange continues its phishing campaign and training and the enterprise-wide campaign for the Security Awareness Proficiency Assessment (SAPA) and Security Culture Survey to monitor the effectiveness and provide insight for continuous improvement.

5. Market Integrity/Stockholder Confidence

Capital Markets Integrity Corporation

The Capital Markets Integrity Corporation (CMIC) is a wholly-owned subsidiary of the Philippine Stock Exchange (PSE) and has the primary mandate of safeguarding the interests of the investing public and maintaining the integrity of the capital markets.

As a self-regulatory organization (SRO), the CMIC monitors trading activities, conducts audit of the pertinent books and records of PSE TPs, and enforces compliance with the securities laws by the TPs. In pursuance of the securities laws, the CMIC carries out the enforcement role of an SRO by investigating and resolving cases involving violations of securities laws, which include trading-related irregularities and unusual trading activities.

In order to fulfill its mandate, the CMIC operates through three core departments: the Audit and Compliance Department (ACD); the Surveillance Department (SD); and the Investigation and Enforcement Department (IED).

The ACD conducts regular and spot audits of the books and records of the TPs. Accordingly, it is comprised of two units: the Regular Examination Unit (REU) and the Risk Management Unit (RMU).

The REU performs an annual audit of the TPs' relevant documents, based on an audit program approved by the Securities and Exchange Commission (SEC).

On the other hand, the RMU conducts a semi-monthly review of the TPs' risk-based capital adequacy (RBCA) reports and reserve requirements to regularly assess their financial and risk profiles.

The SD monitors daily market activities, identifies irregularities in the market, and investigates unfair trading practices.

The IED conducts investigations of alleged violations of securities laws, based on complaints filed by investors, initial findings of the SD, and other matters which the IED has determined should be resolved to enforce the securities laws.

In May 2015, the SEC issued an order directing CMIC to take over the operations of I. Ackerman & Co., Inc. (IACI). The SEC approved the liquidation and allocation plan for distribution of trade-related assets of IACI in July 2016.

In November 2019, the SEC issued an order directing CMIC to take over the operations of R & L Investments, Inc. (R&L). The SEC, in December 2022, interposed no objection to CMIC's proposed plan for the allocation and liquidation of the trade-related assets of R&L, particularly, the formula to distribute the trading participant's net assets to its eligible customers/claimants.

In November 2024, the SEC En Banc directed CMIC to take over the operations of Equitiworld Securities, Inc. (ESI) for the purpose of settling the firm's liabilities to its customers, the Philippine Stock Exchange, and other trading participants. Further, the SEC En Banc ordered CMIC to, among other actions: take possession and control of all the books and records, as well as trade-related assets of Equitiworld; settle Equitiworld's liabilities to its customers through the sale of its trading right and other trade related assets, as may be prescribed by the SEC, the liquidation of paid-up capital, and or supervision of payment claims against the surety bond; and execute and carry out other acts and/or documents that are necessary or appropriate in carrying out the powers granted in the SEC En Banc's Order.

Accordingly, CMIC continues to execute acts appropriate in implementing the rules pertinent to the takeover of the operations of IACI, R&L, and ESI and in carrying its functions and powers, as expressly provided by the securities laws and the orders from the SEC.

<u>Securities Clearing Corporation of the Philippines</u>

Further, the PSE ensures the efficient clearing and settlement of trades through its wholly-owned subsidiary, the Securities Clearing Corporation of the Philippines (SCCP). SCCP is responsible for (a) synchronizing the settlement of funds for transactions of clearing members and the transfer of securities through Delivery versus Payment (DVP) clearing; (b) the administration of the Clearing and Trade Guaranty Fund (CTGF) and guaranteeing the settlement of trades through the implementation of its Fails Management System in the event of a Trading Participant's default; and (c) performance of Risk Management and Monitoring to ensure final and irrevocable settlement.

To be able to support new products and services that the Exchange plans to venture into, the SCCP Board approved the acquisition of a new clearing and settlement (C&S) system which will incorporate global best practices in clearing and settlement services using advanced, or latest technologies available in the market. On May 15, 2019, the Company's board approved the award of the new Clearing and Settlement System Project to Millennium IT Software (Private) Limited (Millennium), the technology arm of the London Stock Exchange Group, which was subsequently rebranded as LSEG Technology. Among the features of the new C&S system are the capability to shift to any settlement cycle, such as a T+2 settlement cycle from the existing T+3; the ability to settle in currencies other than Philippine Peso; the capability to settle multiple trade dates in a single settlement date; the real-time receipt of trades from the trading engine of The Philippine Stock Exchange, Inc.; and the adoption of ISO 20022 standards in real time communications with settlement banks and the depository agent.

On March 27, 2023, SCCP successfully transitioned its clearing and settlement system to the Millennium Post Trade solution, which has enhanced SCCP's clearing, settlement, risk and collateral management capabilities. With the new clearing and settlement system, SCCP has been able to release the cash and securities entitlements of its Clearing Members at an average time of 12:05 PM, an improvement over the previous year's average release time of 12:17 PM.

After the March 27, 2023 launch of its new clearing and settlement system, SCCP started discussions with market participants regarding the initiative to shorten the settlement cycle from T+3 to T+2. With the prior approval of the SEC, SCCP successfully migrated to the shortened settlement cycle of T+2 on August 24, 2023. Market participants, including stockbrokers, custodian banks, the Philippine Depository & Trust Corp, stock transfer agents, the PSE-Issuer Regulation Division and the Capital Markets Integrity Corporation took part in working group discussions, readiness activities and testing sessions over a five month period to ensure that the market was ready for a T+2 settlement cycle. The last T+3 trades executed on August 23, 2023 (Batch 1) and the first T+2 trades executed on August 24, 2023 (Batch 2) were settled on August 29, 2023 within their respective settlement deadlines.

Shortening the settlement cycle yields benefits for our industry and market participants, including reduced credit and counterparty risk, operational process improvements, cash deployment efficiencies, increased market liquidity and lower collateral requirements. Finally, shortening the settlement cycle aligns the Philippine settlement cycle with major international markets including the U.S., Europe, Canada, Australia, Japan, Hong Kong and other major markets in the Asia-Pacific region.

SCCP, as it religiously did so in the past years, regularly tests its Business Continuity and Disaster Recovery (BC/DR) plan. SCCP successfully conducted testing of its Business Continuity (BCP) plan last November 9, 2024.

6. Human Resource Program

<u>Training Programs</u>

Investing in employee development through training is essential to maintaining a competitive, agile, and future-ready workforce. It empowers employees with up-to-date knowledge, sharpens their technical and soft skills, and reinforces a culture of continuous learning and growth.

In Q1 of 2025, PSE employees participated in 13 external training programs to enhance their professional capabilities across a wide range of disciplines. These included: Digital Marketing Series, Investment Banking, Income Tax Computation and Return Preparation, Fundamentals of Information Systems (IS) Audit, Pre- and Post-System Implementation Review, Network Fundamentals, Project Management Fundamentals, Complaints Management, ITIL Foundation, Lean Six Sigma Yellow Belt, Incident, Problem, and Change Management, Create

More Act (IRD Department), and Mandatory Continuing Legal Education (MCLE) for Lawyers.

In Q2 2025, the organization maintained its strong commitment to professional growth by actively investing in a diverse range of learning and development initiatives, with a total of eight external training programs successfully completed. These included ITIL v4 Training for updated IT service management practices, Project Management Professional certification to strengthen project execution, DevOps training to improve cross-functional collaboration in software development and IT operations, and a Post-Certificate in Digital Marketing to enhance modern marketing skills and boost digital presence.

In Q3 2025, the Exchange continued to strengthen employee capabilities through targeted programs in accounting, auditing, process improvement, IT management, and leadership. Notable trainings included Accounting for Non-Accountants, Internal Audit Assessment Workshop and Agile Auditing 101, Data Visualization and Dashboard Making, Leading and Managing Change, and IT Audit 101. The Lean Six Sigma Yellow Belt and ITIL v4 Training programs also continued from the previous quarters, reinforcing process optimization and IT service management practices. These initiatives enhanced financial literacy, audit efficiency, data-driven decision-making, and leadership effectiveness across the organization.

By pursuing these programs, employees not only expanded their expertise but also brought fresh insights and improved practices back to the organization. Continued learning remains a key driver of innovation, efficiency, and excellence at PSE.

Engagement Activities

The key to every successful organization is the well-being of the employee through work-life balance. It is the duty of the Exchange to ensure that employees are being recognized for their dedication to the Exchange and are given time to breathe and be recognized as individuals.

In Q1, PSE hosted a Hearts Day celebration as part of our ongoing employee engagement initiatives. The event featured fun and meaningful activities such as interactive games, personalized appreciation letters, snacks, a photo booth, and thoughtful giveaways—all designed to foster connection, boost morale, and recognize the hard work of our employees.

These moments of recognition and camaraderie are vital in building a positive workplace culture. By celebrating together, we strengthen team bonds, uplift spirits, and reinforce the value we place on every member of the organization.

Further, the Exchange held the PSE Bell Ringing for Gender Equality, a symbolic event underscoring our commitment to inclusivity and the empowerment of women in the workplace. Honorable guests, along with PSE's women employees, took part in this meaningful ceremony, highlighting the vital role women play in shaping a more equitable and progressive future.

In Q2, several health and wellness initiatives were successfully carried out to ensure compliance with occupational health and safety standards. The annual physical examination was completed for all eligible employees, in accordance with the organization's occupational health & safety policy. Additionally, the annual flu and pneumonia vaccination program was conducted, supporting workplace immunization guidelines and promoting employee health by helping prevent seasonal illnesses.

In Q3, the Exchange designed a series of engagement and wellness activities to foster a healthy, positive, and productive work environment. These initiatives aimed to enhance employee well-being, teamwork, and mental health awareness. Highlights included a team-building session focused on collaboration and mindfulness, a Health and Wellness Day featuring fitness challenges and stress-relief activities, and a mindfulness talk on stress management and workplace relationships. The Exchange also conducted an HMO orientation to ensure employees are informed about their health benefits.

These efforts strengthened team dynamics, promoted healthier lifestyles, and increased awareness of available wellness resources.

School Partnerships

Our school partnership program aims to connect students with permanent employment and internship opportunities. The program offers recent graduates and students practical, hands-on experience in professional setting. It also aims to expand our talent pool and build the Exchange's brand image.

In Q1, the Exchange participated in job fairs at Ateneo de Manila University, University of the Philippines - Diliman, De La Salle University-Manila and University of Santo Tomas.

In Q2, the Exchange joined job fairs at the University of Makati and the National Teachers College. It also launched "PSE Insider: A Step Into the Exchange" in partnership with the University of the Philippines - Junior Philippine Institute of Accountants and hosted an Exchange visit for the University of the Philippines Junior Finance Association, where it promoted available positions.

The PSE formalized partnerships with Ateneo de Manila University and De La Salle University through a memorandum of agreements, allowing their students to complete their internships requirements at the Exchange.

In Q3, the Exchange participated in the University of the Philippines - School of Economics One-Day Career Fair. To support recruitment efforts, two sourcing channels - Facebook and LinkedIn, were maximized for job postings. Additionally, the team organized six PSE One-Day Hiring events, which successfully led to filling several vacancies.

7. **Cost Management**

   Management continually implements measures to cut on unnecessary costs and ensures prudent management of expenditures through its regular budget performance monitoring process.

Analysis of Results of Operations and Financial Condition

September 2025 vs. September 2024

For the period ended September 30, 2025, operating revenues of ₱2.01 billion went up by 92.22% or ₱962.13 million compared with the same period in 2024, primarily attributable to the consolidation of PDSHC's revenues amounting to ₱876.51 million, which made up 43.70% of total operating revenues. The primary drivers of the increase are discussed below.

- Listing-related fees rose by 24.93% or by ₱101.95 million on account of 55.65% or ₱105.19 million higher listing maintenance fees, partially offset by the 1.47% or ₱3.24 million lower listing fees. Listing maintenance fees rose in view of the increase in the upper limit of the annual listing maintenance fee from ₱2.0 million to ₱3.5 million. As of September 30, 2025, there were one IPO and 33 additional listings while in 2024, there were three IPOs and 40 additional listings.

  In compliance with PFRS 15, listing fees are recognized as revenue using the proportionate level of services prior to initial admission to the exchange including vetting services for corporate-action related transactions and the level of maintenance and monitoring services over the listed life of the companies. Please refer to the Notes to Financial Statements for more details. The retrospective application of PFRS 15 on prior years' listing fees resulted in the reduction of the beginning balance of Retained Earnings for 2019 by ₱652.61 million, net of deferred tax asset. The said amount which represented deferred listing fees was recorded as contract liability in the balance sheet to be amortized over the average listed life of the companies.

  As of January 1, 2025, the balance of contract liability amounted to ₱1.20 billion. Of the amount, ₱1.18 billion pertained to listing fees of which ₱105.80 million was recognized as listing revenue for the current period. Of the listing fees received during the current period amounting to ₱147.61 million, only ₱91.70 million was recognized as revenue while the difference of ₱55.91 million was recognized as contract liability in the balance sheet to be amortized over the remaining lives of the respective listed companies. Hence, total listing fees recognized for the period amounted to ₱216.74 million, inclusive of ₱19.24 million delisting and forfeited fees.

  Listing-related fees made up 25.48% of total operating revenues.

- Trading-related fees went up by ₱350.81 million or 103.42% mainly due to higher transaction fees and market data revenues. Transaction fees increased by 289% or ₱331.23 million primarily because of the consolidation of the transaction fees from two subsidiaries of PDSHC – PDTC and PDEx, totaling ₱315.54 million. Transaction fees from regular and block sales of the PSE increased by 14% or ₱15.69 million due to a similar percentage growth in trading value to ₱1,303 billion (average daily of ₱7.12 billion) from ₱1,146 billion (average daily of ₱6.23 billion) of the same period in 2024. The increase in market data revenues of 8.04% or ₱12.61 million was mainly due to back charges of variable fees collected and recognized in 2025.

  Trading-related income comprised 34.41% of total operating revenues.

- SCCP service fees likewise went up by 13.69% or ₱28.01 million because of higher trading value for the period.

- Depository securities account fees are fees charged by Philippine Depository & Trust Corp. (PDTC), a 97.72%-owned subsidiary of PDSHC, for the use of the depository infrastructure to maintain and process depository securities accounts. The fees are recognized on a daily basis. As of September 30, 2025, the balance of this account amounted to ₱428.41 million.

- Other operating revenues increased by 58.53% or ₱52.96 million from ₱90.47 million to ₱143.43 million mainly because of the consolidation of registry maintenance fees from

PDSHC amounting to ₱106.38 million, partially offset by the lower fines and penalties collected during the period for violation of disclosure rules of the Exchange. Registry maintenance fees are charged for maintaining the official record of registered holders of uncertificated fixed income or equity securities.

Total expenses increased by 71.92% or ₱444.81 million from ₱618.47 million to ₱1,063.28 million. The movements of major expense items and accounts with significant changes are discussed below:

- Compensation and other related staff costs, which accounted for 31.71% of total expenses, increased by 67.40% or ₱135.75 million, mainly due to the consolidation of PDSHC's manpower cost of ₱113.71 million, along with CMIC's higher manpower complement and PSE's increased retirement expense;

- Repairs and maintenance, 18.47% of total expenses, higher by 66.76% or ₱78.60 million, mainly because of the inclusion of PDHSC's account amounting to ₱72.64 million and the ₱5.96 million increase in the software and hardware maintenance costs of the PSE, SCCP, CMIC and Premier;

- Depreciation expenses, 18.03% of total expenses, went up by 36.85% or ₱51.62 million mainly due to the inclusion of PDSHC's depreciation expenses of ₱55.98 million, partially offset by the lower depreciation of PSE's trading system;

- Professional fees, 14.89% of total expenses, increased by 110.10% or ₱82.95 million mainly due to the addition of PDSHC's consultancy fees amounting to ₱68.92 million, further increased by higher number of board and committee meetings of PSE and the engagements of additional consultants by SCCP;

- Taxes and licenses surged by 1,176.12% or ₱64.83 million mainly because of PDSHC's expenses amounting to ₱55.62 million and ₱9.13 million increase in PSE's expenses for documentary stamp taxes related to its acquisition of PDSHC shares and gross receipts tax on the term loan;

- Occupancy costs went up by 37.15% or ₱13.79 million, mainly due to additional expenses brought about by the consolidation of PDSHC's occupancy expenses of ₱15.63 million, further increased by PSE's higher condominium dues;

- Meetings and conferences went up by 193.97% or ₱1.45 million due to the ₱1.54 million expense from PDSHC and PSE's higher cost of board and committee meetings, partially offset by ₱0.11 million lower committee and board meeting expenses of SCCP;

- Office supplies went up by 143.96% or ₱2.38 million due higher consumption of general supplies, ₱2.20 million of which was from PDSHC;

- Insurance went up by 142.82% or ₱4.55 million mainly attributable to PDSHC's ₱4.63 million insurance cost, partially offset by the ₱0.08 million lower cost of building insurance and directors' & officers' and financial institutions' civil liability insurance;

- Market development expenses increased by 74.21% or ₱3.97 million, primarily due to costs incurred in hosting an investors' forum and a stock trading game;

- Public relations went up by 70.83% or ₱2.64 million due to higher costs for representation, advertisements and the hosting of the ASEAN CEOs' meeting;

- Transportation and travel increased by 34.11% or ₱0.84 million mainly due to the inclusion of transportation expenses of PDSHC;

- Communications expense decreased by 8.42% or ₱0.97 million due to the reduced communication subscriptions of Premier;

- Other expenses increased by 19.12% or ₱2.42 million mainly due to PDSHC's miscellaneous expenses and PSE's cultural events sponsorships, offset by the lower cost of outsourced services of CMIC's financial audit and compliance.

With the above revenues generated and expenses incurred for the period ended September 30, 2025, the Group realized a net income after tax of ₱738.81 million, 15.39% or ₱98.56 million higher from ₱640.25 million last year.

As for the PSE Group's financial position, total assets amounted to ₱8.48 billion, higher by 20.48% or ₱1.44 billion compared with ₱7.04 billion last year. The significant movements in the components of total assets are discussed below:

- Cash and cash equivalents of ₱1.76 billion, 20.80% of total assets, went up by 14.14% or ₱218.52 million from ₱1.55 billion last year mainly because of the inclusion of PDSHC's account balance of ₱673.32 million, offset by the payouts for PDSHC shares purchased during the period.

- Financial assets at fair value-through-profit & loss (FVTPL) of ₱1.23 billion, 38.62% of total investments and 14.56% of total assets, pertained to the investment of PSE in equity funds and US Dollar-denominated bonds and PDSHC's investment in money market funds and government securities amounting to ₱83.98 million. The account decreased by ₱16.45 million or 1.31% on account of the lower fair value of PSE's investment in domestic equity funds.

- Short-term financial assets at fair value through other comprehensive income (FVOCI) of ₱167.84 million, 5.25% of total investments and 1.98% of total assets, pertained to investment in corporate bonds with interest rates ranging from 3.79% to 3.82% and government securities with interest rates ranging from 5.25% to 5.50%. The account decreased by ₱97.75 million or 36.81% due to the matured fixed treasury notes (FXTN) and corporate bonds.

- Short-term financial assets at amortized cost of ₱957.86 million, 29.96% of total investments and 11.29% of total assets, pertained to the investments in government securities of PDSHC that earn effective interest rate ranging from 5.13% to 5.68% and outstanding notes receivable from RCBC Rental Corporation earning 4% per annum.

- Receivables, 3.67% of total assets, went up by 136% from ₱132.02 million to ₱311.56 million primarily because of the addition of PDSHC's account amounting to ₱170.97 million, and CMIC's receivable from Equitiworld Securities, Inc. (ESI) amounting to ₱32.82 million. The receivable of CMIC from ESI pertained to the redemption amount of the latter's property and incidental costs related to the Petition for Consignation filed by the former with the Regional Trial Court of Makati. This was done pursuant to CMIC's mandate to preserve the assets of ESI for liquidation under the Securities and Exchange Commission's order to take over its operations.

- Other current assets of ₱248.04 million increased by 26.41% or ₱51.82 million mainly due to the inclusion of ₱98.33 million restricted cash and short-term investments of PDSHC, partially reduced by the amortization of prepaid expenses and lower input taxes of PSE and SCCP.

- Long-term financial assets at FVOCI of ₱753.52 million, 23.57% of total investments and 8.88% of total assets, pertained to the fair value of investments in government securities and corporate bonds with interest rates ranging from 3.325% to 6.26% and 5.099% to 8.008%, respectively. The account decreased by ₱113.83 million or 13.12% mainly due to reclassification of long-term FXTN to short-term.

- Investment in an associate pertained to the 20.98% ownership-share in PDSHC. Following the acquisition of the additional 32.36% stake in PDHSC, the account was transferred to equity investment account in December 2024.

- Right-of-use assets (ROU) of ₱82.59 million pertained to the undepreciated value of the lease contracts of the Parent Company's data recovery sites and Premier and PDSHC's office and parking spaces. The assets are depreciated on a straight-line basis over their respective lease terms. The account increased by 61.95% or ₱31.59 million mainly due to the inclusion of PDSHC's ROU account balance of ₱55.01 million partially reduced by depreciation for the period.

- Goodwill amounting to ₱1,230.90 million, 14.51% of total assets, pertained to the difference between the total identifiable net assets of PDSHC of ₱1,442.42 million and the sum of ₱1,213.52 million paid for the 32.36% ownership-shares acquired by PSE, ₱673.03 million proportionate share of 46.66% non-controlling interest and ₱786.76 million PSE previously held interest of 20.98% at acquisition-date fair values. The goodwill of ₱1,230.90 million comprises the value of expected synergies arising from the acquisition, which is entirely allocated to the PDSHC group.

- Investment property of ₱123.88 million decreased by 4.61% or ₱5.99 million due to depreciation. This pertained to land rights, building and building improvements of the property in Exchange Plaza. On June 18, 2024, the Securities and Exchange Commission approved the incorporation of PRI, where PSE subscribed to 9.58 million shares of PRI in exchange for the above-described property in Ayala Triangle valued at ₱958 million with a carrying value of ₱131 million. As of September 30, 2025, title to the property has not yet been transferred by PSE to PRI and correspondingly, PRI shares are not yet issued to PSE since the latter has not yet secured a Certificate Authorizing Registration from the Bureau of Internal Revenue. The transaction though has no impact on the consolidated financial statements.

- Pension asset of ₱57.69 million increased by 10.63% or ₱5.54 million based on the actuarial valuation report as of December 31, 2024.

- Other non-current assets went up by 70.33% or ₱43.05 million mainly due to the addition of PDSHC's account amounting to ₱42.56 million.

Current liabilities increased by ₱928.28 million or 103.38% to ₱1.83 billion. The following are the most significant causes of the huge increase which made up 94.98% or ₱881.68 million of the total:

- 33.94% or ₱315.02 million current liabilities of PDSHC that were included in the account.
- 31.67% or ₱294 million funds held in trust. This represents the purchase price of PDEx shares which PSE and PDSHC have agreed to sell to the Bankers Association of the Philippines (BAP) and BAP member-banks as a material inducement for the sale of BAP's PDSHC shares to PSE. The purchase price of the PDEx shares was withheld by PSE from the consideration for the PDSHC shares and will be held in trust by PSE, until fulfillment of all closing conditions for the sale and purchase of PDEx shares, including regulatory approval.
- 14.93% or ₱138.61 million higher current portion of PSE contract liabilities.
- 9.70% or ₱90 million principal amortization of PSE's term loan due in January 2026.
- 3.13% or ₱29.05 million higher deferred fees (listing maintenance fees and other fees) of PSE; and
- 1.62% or ₱15 million higher dividends payable.

Similarly, noncurrent liabilities increased by 102.59% or ₱783.89 million primarily due to the ₱810 million noncurrent portion of the term loan and ₱35.63 million higher pension liabilities, partially offset by ₱63.73 million lower contract liabilities. In January 2025, PSE entered into term loan agreements with RCBC and BDO, each amounting to ₱450 million. Both loans carry a term of 10 years and bear interest at a fixed rate of 6.56% per annum (inclusive of gross receipts tax), payable semi-annually starting July 2025. The proceeds from these loans were used to partially finance the acquisition of PDSHC shares.

Contract liabilities pertained mainly to the balance of the performance obligation of the contracts with issuer companies for listing fees recognized pursuant to PFRS 15, Revenue from Contracts with Customers, whereby revenue from listing fees is recognized over time using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life. As of September 30, 2025, the balance of the account amounted to ₱1.34 billion, of which ₱724.83 million was current and ₱617.75 million was noncurrent. Please refer to Note 19 of the attached financial statements for more details.

Lease liabilities pertained to the remaining undepreciated balance of the value of lease contracts for the Parent Company's data recovery sites, Premier's office space and PDSHC's office and parking spaces. At the commencement date of the lease, the Group recognized lease liabilities measured at the present value of lease payments to be made over the lease terms using incremental borrowing rate at the lease commencement date. Thereafter, the amount of the lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. As of September 30, 2025, the balance of the account amounted to ₱90.30 million, of which ₱31.51 million was current and ₱58.79 million was noncurrent. Please refer to Notes 6 and 29 of the attached financial statements for more details.

The PSE remained liquid with working capital of ₱2.94 billion and current ratio of 2.61:1.

Retained Earnings of ₱1.56 billion, as of September 30, 2025, consisted of ₱151.40 million appropriated for treasury shares, legal cases not covered by directors & officers' liability insurance and CMIC's Phase 1 of the infrastructure upgrade of its surveillance system, donated capital of ₱221.60 million and an unappropriated amount of ₱1.19 million, inclusive of net income for the period of ₱738.81 million.

As of September 30, 2025, the net unrealized loss on financial assets at FVOCI reflected in the equity account amounted to ₱6.01 million which improved by ₱2.96 million or 33.03% compared with prior period's ₱8.97 million. Remeasurement gain on pension benefits amounted to ₱4.73 million which compared with ₱9.57 million as of September 30, 2024, declined by ₱4.83 million or 50.51%, as computed based on the Amended PAS No.19 (R) actuarial report.

September 2025 vs. December 2024

Compared with the total assets of ₱8.54 billion as of December 31, 2024, the balance as of September 30, 2025 of ₱8.48 billion was lower by ₱55.75 million or 0.65%. The accounts with significant changes are as follows:

- Cash and cash equivalents of ₱1.76 billion was lower by 6.76% or ₱127.84 million mainly due to the maturity of time deposits and disbursements related to PDSHC acquisition.

- Short-term investments of ₱82.82 million pertained to time deposit placements of PDSHC for tenors of more than 90 days with interest rates ranging from 3.75% to 4.50% per annum.

- Financial assets at fair value-through-profit & loss (FVTPL) of ₱1.23 billion, 38.62% of total investments and 14.56% of total assets, pertained to PSE's investment in equity funds and US dollar-denominated bonds and PDSHC's investments in government securities and money market funds amounting to ₱82.62 million. The account increased marginally by ₱5.61 million or 0.46% because of the improvement in the fair value of PDSHC's investments.

- Short-term financial assets at fair value through other comprehensive income (FVOCI) of ₱167.84 million pertained to investments in corporate bonds with interest rates ranging from 3.79% to 3.82% and government securities with interest rates ranging from 5.25% to 5.50%. The account is lower by ₱28.01 million or 14.30% because of matured FXTNs, RTBs and corporate bonds.

- Short-term financial assets at amortized cost of ₱957.86 million which pertained to the investments in government securities of PDSHC that earn effective interest rate ranging from 5.13% to 5.68% and outstanding notes receivable from RCBC Rental Corporation earning 4% per annum. The account increased by ₱282.10 million because of additional placements in T-bills during the period.

- Receivables went up by ₱53.05 million or 20.52% mainly attributable to CMIC's receivable from Equitiworld Securities, Inc. (ESI) amounting to ₱32.82 million and higher trade receivables of PDSHC. The receivable of CMIC from ESI pertained to the redemption amount of the latter's property and incidental costs related to the Petition for Consignation filed by the former with the Regional Trial Court of Makati. This was done pursuant to CMIC's mandate to preserve the assets of ESI for liquidation under the Securities and Exchange Commission's order to take over its operations.

- Long-term financial assets at FVOCI of ₱753.52 million pertained to the fair value of government securities and corporate bonds with yields ranging from 3.325% to 6.26% and 5.099% to 8.008%, respectively. The account decreased by ₱154.12 million or 16.98% due to maturities and reclassification to short-term FVOCI.

- Long-term financial assets at amortized cost pertained to investments in government securities of PDSHC that earn effective interest rate ranging from 5.15% to 6.00%, which matured during the current period.

- Property and equipment, 12.66% of total assets, went down by 8.53% or ₱100.12 million primarily due to the depreciation.

- Right-of-use assets of ₱82.59 million pertained to the remaining undepreciated value of the lease of the Parent Company's data recovery sites and Premier and PDSHC's parking and office spaces. The assets are depreciated on a straight-line basis over their respective lease terms. The account decreased by 18.17% or ₱18.34 million due to depreciation.

- Goodwill amounting to ₱1,230.90 million, 14.77% of total assets, pertained to the difference between the total identifiable net assets of PDSHC of ₱1,442.42 million and the sum of ₱1,213.52 million paid for the 32.36% ownership-shares acquired by PSE, ₱673.03 million proportionate share of 46.66% non-controlling interest and ₱786.76 million PSE previously held interest of 20.98% at acquisition-date fair values. The goodwill of ₱1,230.90 million comprises the value of expected synergies arising from the acquisition, which is entirely allocated to the PDSHC group.

- Investment property of ₱123.88 million pertained to land rights, building and building improvements of the property in Exchange Plaza. On June 18, 2024, the Securities and Exchange Commission approved the incorporation of PRI, where PSE subscribed to 9.58 million shares of PRI in exchange for the above-described property in Ayala Triangle valued at ₱958 million with a carrying value of ₱131 million. As of September 30, 2025, title to the property has not yet been transferred by PSE to PRI and correspondingly, PRI shares are not yet issued to PSE since the latter has not yet secured a Certificate Authorizing Registration from the Bureau of Internal Revenue. The transaction though has no impact on the consolidated financial statements.

  The account decreased by 3.47% or ₱4.45 million because of depreciation.

Current liabilities increased by ₱1.04 billion or 133.21% from ₱783.05 million primarily because of ₱551.19 million higher current portion of contract liabilities, ₱255.04 million higher accounts payable inclusive of those due to government agencies, ₱98.20 million higher listing maintenance and other fees, ₱90 million current portion of loans payable, and ₱51.58 million higher income tax payable, partially offset by ₱17.88 million lower current portion of lease liabilities.

Noncurrent liabilities went up by 35.79% or ₱407.98 million mainly due to the net effect of the recognition of ₱810 million noncurrent portion of term loan and 39.77% or ₱407.97 million lower noncurrent portion of contract liabilities. In January 2025, PSE entered into term loan agreements with RCBC and BDO, each amounting to ₱450 million. Both loans carry a term of 10 years and bear interest at a fixed rate of 6.56% per annum (inclusive of gross receipts tax), payable semi-annually starting July 2025. The proceeds from these loans were used to partially finance the acquisition of PDSHC shares.

Contract liabilities pertained mainly to the balance of the performance obligation of the contracts with issuer companies for listing fees recognized pursuant to PFRS 15, Revenue from Contracts with Customers, whereby revenue from listing fees is recognized over time using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life. As of September 30, 2025, the balance of the account amounted to ₱1.34 billion, of which ₱724.83 million was current and ₱617.75 million was noncurrent.

Lease liabilities pertained to the remaining balance of the value of the lease contracts for the Parent Company's data recovery sites and Premier and PDSHC's office spaces. At the commencement date of the lease, the Group recognized lease liabilities measured at the present value of lease payments to be made over the lease terms using incremental borrowing rate at the lease commencement date. Thereafter, the amount of the lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. As of September 30, 2025, the balance of the account amounted to ₱90.30 million, of which ₱31.51 million was current and ₱58.79 million was noncurrent.

Retained Earnings of ₱1.56 billion, as of September 30, 2025, consisted of ₱151.40 million appropriated for treasury shares, legal cases not covered by directors & officers' liability insurance and CMIC's Phase 1 of the infrastructure upgrade of its surveillance system, donated capital of ₱221.60 million and an unappropriated amount of ₱1,189.73 million, inclusive of net income for the period of ₱738.81 million.

As of September 30, 2025, the net unrealized loss on financial assets at FVOCI reflected in the equity account amounted to ₱6.01 million, which compared with ₱18.71 million as of December 31, 2024 decreased by 67.89% or ₱12.70 million. The remeasurement gain on pension benefits of ₱4.73 million as of September 30, 2025 was higher by ₱5.51 million or 706.34% than the ₱0.78 million remeasurement loss, as of December 31, 2024.

PART II – OTHER INFORMATION

PSE previously disclosed all material information in a report on SEC Form 17-C. There are no other material information not previously reported in Form 17-C.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the Issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer	....	**THE PHILIPPINE STOCK EXCHANGE, INC.**
Signature and Title	....	**RAMON S. MONZON** **President & CEO**
Signature and Title	....	**OMELITA J. TIANGCO** **Treasurer**
Date	....	**November 12, 2025**

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	September 30, 2025	December 2024 (Audited)	September 30, 2024
ASSETS			
Current Assets			
Cash and cash equivalents (Notes 5 and 7)	**₱1,763,856,804**	₱1,891,701,452	₱1,545,337,651
Short-term investments (Notes 5 and 7)	**82,822,163**	–	832,438,782
Financial assets at fair value through profit or loss (FVTPL) (Notes 5, 6 and 8)	**1,234,749,717**	1,229,139,304	1,251,195,602
Financial assets at fair value through other comprehensive income (FVOCI) (Notes 5, 6 and 9)	**167,836,429**	195,845,623	265,587,482
Financial assets at amortized cost (Notes 5, 6 and 10)	**957,857,614**	675,756,265	–
Receivables (Notes 5, 6 and 11)	**311,561,354**	258,506,969	132,018,210
Other current assets (Note 12)	**248,044,418**	273,037,578	196,220,304
Total Current Assets	**4,766,728,499**	4,523,987,191	4,222,798,031
Noncurrent Assets			
Long-term financial assets at FVOCI (Notes 5, 6 and 9)	**753,518,756**	907,639,759	867,345,275
Long-term financial assets at amortized cost (Notes 5, 6 and 10)	–	5,659,575	–
Property and equipment (Note 13)	**1,073,436,087**	1,173,556,325	1,096,158,116
Investment property (Note 14)	**123,883,047**	128,335,393	129,874,504
Right-of-use assets (Note 29)	**82,587,724**	100,930,127	50,995,417
Goodwill (Note 15)	**1,230,899,029**	1,230,899,029	–
Investment in an associate (Note 16)	**–**	–	265,961,099
Deferred tax assets - net (Note 30)	**288,813,356**	299,675,764	293,552,058
Pension asset (Note 31)	**57,688,522**	57,688,522	52,143,780
Other noncurrent assets (Notes 5 and 17)	**104,262,479**	109,191,179	61,210,987
Total Noncurrent Assets	**3,715,089,000**	4,013,575,673	2,817,241,236
	₱8,481,817,499	₱8,537,562,864	₱7,040,039,267
LIABILITIES AND EQUITY			
Current Liabilities			
Accounts payable and other current liabilities (Notes 5, 6 and 18)	**₱684,914,096**	₱429,874,889	₱212,535,664
Dividends payable	**105,176,742**	90,175,488	–
Deferred fees and others (Note 19)	**99,346,599**	1,143,793	64,148,407
Current portion of contract liabilities (Note 19)	**724,830,020**	173,637,454	583,973,471
Income tax payable	**90,414,562**	38,831,105	31,976,886
Current portion of loans payable (Note 20)	**90,000,000**	–	–
Current portion of lease liabilities (Notes 5 and 29)	**31,507,817**	49,389,227	5,277,364
Total Current Liabilities	**1,826,189,836**	783,051,956	897,911,792
Noncurrent Liabilities			
Contract liabilities - net of current portion (Note 19)	**617,754,141**	1,025,719,817	681,481,844
Loans Payable – net of current portion (Note 20)	**810,000,000**	–	–
Lease liabilities - net of current portion (Notes 5, 6 and 29)	**58,794,816**	60,016,893	56,811,620
Pension liability and others (Note 31)	**61,445,823**	54,275,517	25,812,138
Total Noncurrent Liabilities	**1,547,994,780**	1,140,012,227	764,105,602
Total Liabilities	**3,374,184,616**	1,923,064,183	1,662,017,394
EQUITY			
Capital stock (Notes 1, 22 and 36)	**85,470,995**	85,400,310	85,390,088
Additional paid-in capital (Notes 1, 22 and 36)	**3,977,138,846**	3,962,378,379	3,960,186,313
Subscribed capital stock (Notes 22 and 36)	**42,533,781**	41,083,385	29,165,700
Subscription receivable (Notes 22 and 36)	**(21,948,503)**	(16,462,565)	(8,903,597)
Treasury stock (Note 22)	**(696,293,587)**	(696,293,587)	(696,293,587)
Equity reserve	**(10,931,628)**	(10,931,628)	–
Retained earnings:			
Unappropriated (Note 22)	**1,189,730,366**	2,222,780,349	1,656,322,264
Appropriated (Note 22)	**151,400,000**	151,400,000	151,400,000
Donated capital (Note 21)	**221,597,831**	221,597,831	211,597,831
Unrealized (gain) loss on financial assets at FVOCI - net (Note 9)	**(6,006,245)**	(18,705,976)	(8,968,034)
Remeasurement gain (loss) on pension benefits and others - net	**4,734,145**	(780,768)	9,566,676
Total Equity Attributable to Equity Holders of the Parent Company	**4,937,426,001**	5,941,465,730	5,389,463,654
Non-controlling interest	**170,206,882**	673,032,951	(11,441,781)
Total Equity	**5,107,632,883**	6,614,498,681	5,378,021,873
	₱8,481,817,499	₱8,537,562,864	₱7,040,039,267

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Nine Months Ended September 30	
	2025	2024
REVENUES (Note 23)	**₱2,005,478,775**	₱1,043,346,372
COST AND EXPENSES		
Cost of services (Note 25)	**643,971,657**	300,542,032
General and administrative (Note 26)	**419,307,984**	317,923,730
	1,063,279,641	618,465,762
OPERATING INCOME	**942,199,134**	424,880,610
OTHER INCOME (EXPENSES)		
Interest income (Note 24)	**139,351,222**	133,728,451
Equity in net income of an associate (Note 16)	–	39,400,440
Mark-to-market gain (loss) on FVTPL (Note 8)	**(41,567,531)**	130,514,527
Dividend income (Note 8)	**24,615,122**	20,578,960
Interest expense (Notes 20 and 29)	**(43,800,212)**	(4,649,083)
Gain on sale of fixed assets	**40,562**	90,736
Others – net (Note 24)	**2,877,576**	6,508,608
	81,516,739	326,172,639
INCOME BEFORE INCOME TAX	**1,023,715,873**	751,053,249
PROVISION FOR INCOME TAX (Note 30)	**284,901,693**	110,803,993
NET INCOME	**738,814,180**	640,249,256
OTHER COMPREHENSIVE INCOME (LOSS)		
Item to be reclassified to profit or loss in subsequent periods:		
Gain (loss) on change in the fair value of financial assets at FVOCI (Note 9)	**12,699,731**	14,331,245
Items not to be reclassified to profit or loss in subsequent periods:		
Remeasurement gain (loss) on pension benefits - net (Note 31)	**5,514,913**	4,362,303
	18,214,644	18,693,548
TOTAL COMPREHENSIVE INCOME	**₱757,028,824**	₱658,942,804
Net Income Attributable to:		
Equity holders of the Parent Company	**₱683,134,056**	₱640,759,409
Non-controlling interests	**55,680,124**	(510,153)
	₱738,814,180	₱640,249,256
Total Comprehensive Income Attributable to:		
Equity holders of the Parent Company	**₱701,348,700**	₱659,452,957
Non-controlling interests	**55,680,124**	(510,153)
	₱757,028,824	₱658,942,804
Basic Earnings Per Share (Note 32)	**₱8.34**	₱7.83
Diluted Earnings Per Share (Note 32)	**₱8.34**	₱7.83

See accompanying Notes to Consolidated Financial Statements.

Earnings Per Share (EPS)	Nine Months as of September 30		For the Last 12 Months	
	2025	2024	2025	2024
NET INCOME (a)	683,134,056	640,759,409	1,249,592,141	837,827,189
(b) Weighted average shares – Basic	81,951,153	81,849,113	81,951,153	81,849,113
(c) Weighted average shares – Diluted	81,951,153	81,849,113	81,951,153	81,849,113
Basic EPS (a/b)	8.34	7.83	15.25	10.24
Diluted EPS (a/c)	8.34	7.83	15.25	10.24

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Three Months Ended September 30	
	2025	2024
REVENUES (Note 23)	**₱692,123,285**	₱320,601,294
COST AND EXPENSES		
Cost of services (Note 25)	**224,644,774**	95,281,625
General and administrative (Note 26)	**131,863,025**	107,049,254
	356,507,799	202,330,879
OPERATING INCOME	**335,615,486**	118,270,415
OTHER INCOME (EXPENSES)		
Interest income (Note 24)	**43,698,255**	42,928,890
Mark-to-market gain (loss) on FVTPL (Note 8)	**(49,515,316)**	133,089,438
Dividend income (Note 8)	**5,918,036**	4,909,183
Interest expense (Note 20 and 29)	**(15,741,268)**	(2,395,860)
Gain on sale of fixed assets	**23,958**	-
Others – net (Note 24)	**15,228,306**	(14,343,414)
	(388,389)	164,188,237
INCOME BEFORE INCOME TAX	**335,227,097**	282,458,652
PROVISION FOR INCOME TAX (Note 30)	**104,438,412**	40,228,683
NET INCOME	**230,788,685**	242,229,969
OTHER COMPREHENSIVE INCOME (LOSS)		
Item to be reclassified to profit or loss in subsequent periods:		
Gain (loss) on change in the fair value of financial assets at FVOCI (Note 9)	**4,243,302**	16,546,487
Items not to be reclassified to profit or loss in subsequent periods:		
Remeasurement gain (loss) on pension benefits - net (Note 31)	**1,838,305**	1,454,101
	6,081,607	18,000,588
TOTAL COMPREHENSIVE INCOME	**₱236,870,292**	₱260,230,557
Net Income Attributable to:		
Equity holders of the Parent Company	**₱217,881,141**	₱242,331,051
Non-controlling interests	**12,907,544**	(101,081)
	₱230,788,685	₱242,229,969
Total Comprehensive Income Attributable to:		
Equity holders of the Parent Company	**₱223,962,748**	₱260,331,639
Non-controlling interests	**12,907,544**	(101,081)
	₱236,870,292	₱260,230,557
Basic Earnings Per Share (Note 32)	**₱2.66**	₱2.96
Diluted Earnings Per Share (Note 32)	**₱2.66**	₱2.96

See accompanying Notes to Consolidated Financial Statements.

Earnings Per Share (EPS)	Three Months as of September 30		For the Last 12 Months	
	2025	2024	2025	2024
NET INCOME (a)	217,881,141	242,331,051	1,249,592,141	837,827,189
(b) Weighted average shares – Basic	81,951,153	81,849,113	81,951,153	81,849,113
(c) Weighted average shares – Diluted	81,951,153	81,849,113	81,951,153	81,849,113
Basic EPS (a/b)	2.66	2.96	15.25	10.24
Diluted EPS (a/c)	2.66	2.96	15.25	10.24

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE PERIODS ENDED SEPTEMBER 30, 2025 AND 2024

				Equity Attributable to Equity Holders of the Parent Company									
						Retained Earnings							
	Capital Stock (Notes 1, 22 and 36)	Additional Paid-in Capital (Notes 1, 22 and 36)	Subscribed Capital Stock – net of Subscription Receivable (Notes 22 and 36)	Treasury Stock (Note 22)	Equity Reserve	Unappropriated (Note 22)	Appropriated (Note 22)	Donated Capital (Note 21)	Unrealized Gain (Loss) on Financial Assets at FVOCI - Net (Note 9)	Remeasurement Gain (Loss) on Pension Benefits and Others - Net (Notes 16 and 31)	Total	Non-controlling Interest	Total Equity
Balances as at January 1, 2025	**₱85,400,310**	**₱3,962,378,379**	**₱24,620,820**	**(₱696,293,587)**	**(₱10,931,628)**	**₱2,222,780,349**	**₱151,400,000**	**₱221,597,831**	**(₱18,705,976)**	**(₱780,768)**	**₱5,941,465,730**	**₱673,032,951**	**₱6,614,498,681**
Net income	**–**	**–**	**–**	**–**	**–**	**683,134,056**	**–**	**–**	**–**	**–**	**683,134,056**	**55,680,124**	**738,814,180**
Other comprehensive income (loss)	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**12,699,731**	**5,514,913**	**18,214,644**	**–**	**18,214,644**
Total comprehensive income (loss)	**–**	**–**	**–**	**–**	**–**	**683,134,056**	**–**	**–**	**12,699,731**	**5,514,913**	**701,348,700**	**55,680,124**	**757,028,824**
Employee stock purchase plan	**70,685**	**14,760,467**	**(4,035,542)**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**10,795,610**	**–**	**10,795,610**
Cash dividends - ₱10.00 per share	**–**	**–**	**–**	**–**	**–**	**(822,678,680)**	**–**	**–**	**–**	**–**	**(822,678,680)**	**–**	**(822,678,680)**
Acquisition of non-controlling interests	**–**	**–**	**–**	**–**	**–**	**(893,505,359)**	**–**	**–**	**–**	**–**	**(893,505,359)**	**(558,506,193)**	**(1,452,011,552)**
Balances as at September 30, 2025	**₱85,470,995**	**₱3,977,138,846**	**₱20,585,278**	**(₱696,293,587)**	**(₱10,931,628)**	**₱1,189,730,366**	**₱151,400,000**	**₱221,597,831**	**(₱6,006,245)**	**₱4,734,145**	**₱4,937,426,001**	**₱170,206,882**	**5,107,632,883**
Balances as at January 1, 2024	₱85,221,965	₱3,937,143,573	₱35,303,828	(₱696,293,587)	₱–	₱1,851,411,245	₱136,400,000	₱211,597,831	(₱23,299,279)	₱5,204,373	₱5,542,689,949	(₱10,931,628)	₱5,531,758,321
Net income	–	–	–	–	–	640,759,409	–	–	–	–	640,759,409	(510,153)	640,249,256
Other comprehensive income (loss)	–	–	–	–	–	–	–	–	14,331,245	4,362,303	18,693,548	–	18,693,548
Total comprehensive income (loss)	–	–	–	–	–	640,759,409	–	–	14,331,245	4,362,303	659,452,957	(510,153)	658,942,804
Employee stock purchase plan	168,123	23,042,740	(15,041,725)	–	–	–	–	–	–	–	8,169,138	–	8,169,138
Cash dividends - ₱10.00 per share	–	–	–	–	–	(820,848,390)	–	–	–	–	(820,848,390)	–	(820,848,390)
Appropriated for infrastructure	–	–	–	–	–	(15,000,000)	15,000,000	–	–	–	–	–	–
Balances as at September 30, 2024	₱85,390,088	₱3,960,186,313	₱20,262,103	(₱696,293,587)	₱–	₱1,656,322,265	₱151,400,000	₱211,597,831	(₱8,968,034)	₱9,566,676	₱5,389,463,655	(₱11,441,781)	₱5,378,021,873

See accompanying Notes to Consolidated Financial Stateme7nts.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Periods Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	**₱1,023,715,873**	₱751,053,249
Adjustments for:		
Depreciation and amortization (Notes 13, 14, 25 and 26)	**191,692,549**	140,070,783
Interest income (Note 24)	**(139,351,222)**	(133,728,451)
Mark-to-market loss (gain) on financial assets at FVTPL (Note 8)	**41,567,531**	(130,514,527)
Equity in net income of an associate (Note 16)	**-**	(39,400,440)
Dividend income (Note 8)	**(24,615,122)**	(20,578,960)
Unrealized foreign exchange losses (gains) – net	**4,325,137**	6,893,708
Amortization of discount or premium (Note 9)	**(910,365)**	(678,847)
Interest expense on lease liabilities (Note 29)	**5,579,226**	4,649,083
Share-based payment expense (Note 36)	**2,353,424**	2,153,258
Net pension cost (Note 31)	**16,609,300**	4,362,303
Loss (gain) on sale of property and equipment (Note 13)	**(40,562)**	(90,736)
Income before working capital changes	**1,120,925,770**	584,190,424
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Receivables	**(55,916,765)**	(22,013,665)
Other current assets	**24,993,160**	(84,016,249)
Increase (decrease) in:		
Accounts payable and other current liabilities	**(30,406,465)**	(29,739,925)
Contract liabilities	**143,226,890**	32,099,506
Deferred fees and others	**98,202,806**	62,856,120
Cash generated from operations	**1,301,025,395**	543,376,210
Income taxes paid	**(219,472,611)**	(98,855,137)
Interest paid	**(28,468,603)**	-
Interest received	**142,213,602**	133,278,885
Net cash provided by operating activities	**1,195,297,784**	577,799,958
CASH FLOWS FROM INVESTING ACTIVITIES		
Dividends received (Notes 8 and 16)	**24,615,122**	83,528,032
Acquisitions of/additions to:		
Financial assets at FVTPL (Note 8)	**(47,177,944)**	(62,687,380)
Financial assets at FVOCI (Note 9)	**(51,030,000)**	(92,160,000)
Financial assets at amortized cost (Note 10)	**(1,585,064,241)**	-
Short term investments (Note 7)	**(82,822,163)**	(1,383,517,109)
Property and equipment (Note 13)	**(37,429,171)**	(58,779,450)
Proceeds from maturities/withdrawal/sale/redemption of:		
Financial assets at amortized cost (Note 10)	**1,308,622,467**	330,529,121
Financial assets at FVOCI (Note 9)	**243,429,157**	1,501,823,953
Property and equipment (Note 13)	**40,562**	850,534
Increase in other noncurrent assets	**4,928,700**	(2,324,910)
Net cash provided by (used in) investing activities	**(221,887,512)**	317,262,791
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of lease liabilities (Note 29)	**(24,682,713)**	(21,528,581)
Share-based payment transactions (Note 36)	**8,443,161**	7,342,073
Proceeds from bank loan (Note 20)	**900,000,000**	-
Acquisition of additional interest in a subsidiary (Note 15)	**(1,158,011,552)**	-
Dividend payment (Note 22)	**(822,678,680)**	(820,848,390)
Net cash provided by (used in) financing activities	**(1,096,929,783)**	(835,034,899)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	**(123,519,511)**	60,027,850
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	**(4,325,137)**	(6,893,708)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR (Note 7)	**1,891,701,452**	1,492,203,509
CASH AND CASH EQUIVALENTS AT END OF SEPTEMBER 30 (Note 7)	**₱1,763,856,804**	₱1,545,337,651

See accompanying Notes to Consolidated Financial Statements.

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments as defined under the Securities Regulation Code (SRC).

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.80 million divided into 36,800,000 shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 or SRC and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC) (see Note 22).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

a. Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
b. Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.47 million shall be treated as additional paid-in capital;
c. Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
d. Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
e. Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 22). Gross proceeds from the private placement offering amounted to ₱726.26 million, inclusive of additional paid-in capital of ₱720.18 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.10 million were recorded as a reduction of the additional paid-in capital (see Note 23).

On September 10, 2008, the Parent Company's BOD approved the issuance of the 100% stock dividend declared by the Exchange to stockholders of record as of December 13, 2013. On September 12, 2008, the SEC approved to increase the authorized shares of the Company by 61,000,000 shares. The total number of shares issued in 2008 was 15,177,499 shares (see Note 22).

The total number of shares issued in 2011 was 30,504,363 shares (see Note 22).

On December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared by the Exchange on October 22, 2008 to stockholders of record as of September 26, 2008. On November 14, 2013, the SEC approved to increase the authorized shares of the Company by 22,200,000 shares. The total number of shares issued in 2013 was 12,221,680 shares (see Note 22).

On October 25, 2017, the BOD approved the stock rights offering (SRO) to stockholders of up to 11,500,000 common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC. The proceeds from the stock rights offering will be used to fund the acquisition of PDSHC and capital requirements of the Exchange (see Note 22).

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange offered 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period was from March 12 to 16, 2018. On March 22, 2018, the Exchange successfully listed the 11,500,000 shares in the Philippine Stock Exchange (PSE). Gross proceeds from the stock rights offering amounted to ₱2.90 billion, inclusive of additional paid-in capital of ₱2.89 billion representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱73.35 million were recorded as a reduction of the additional paid-in capital
(see Note 22).

On May 4, 2019, the stockholders of the Exchange approved the amendments of the Exchange's articles of incorporation to: (a) include in the secondary purposes, the right to lease, exchange mortgage and to exercise all other rights of ownership over its properties and (b) to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share. On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation (see Note 22).

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management. To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD). SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

Premier Software Enterprise, Inc. (Premier), a 100% and 80% owned subsidiary of the Exchange in 2024 and 2023, respectively, is a domestic stock corporation organized on May 16, 2019 to engage in the business of manufacturing, distribution, sales and marketing of all kinds of technology related products and services such as computer hardware, software, internet service providing, voice and data network integration, packet or cell switching technologies, circuit switching technology, information software services, product designing and other information technology applications and services, except telecommunications business.

PSE Realty, Inc. (PRI), a 100% owned subsidiary of the Exchange, is a domestic stock corporation incorporated on June 18, 2024 to acquire by purchase, lease, donation or otherwise, own, hold for investment or otherwise, develop, improve, use, lease, sublease, mortgage, pledge, sell, assign, transfer, exchange or otherwise dispose of, maintain, administer, manage, and operate, alone or jointly with others, real property of all kinds, classes, description, and purpose, such as but not limited to office, commercial, residential or mixed-use properties, hotels, inns, resorts, and apartments, without however engaging in real estate subdivision business.

Philippine Dealing System Holdings Corp. (PDSHC), a 92.06% owned subsidiary of the Exchange as of September 30, 2025, is a domestic corporation incorporated in the Philippines on April 24, 2001 to invest in, purchase, or otherwise hold, use, sell, assign, transfer, mortgage, pledge, exchange, or otherwise dispose of shares of stock in exchanges as defined in the Securities Regulation Code or other laws, as well as in one or more corporations which will provide depository, registry, clearing, settlement, custody, securities borrowing and lending, information technology, and other support services for the exchange or for the other exchanges of securities or monetary transactions or platforms (see Note 15).

The Parent Company and its subsidiaries are collectively referred to these consolidated financial statements as the "Group". The registered office address of the Parent Company is 6th to 10th Floors, PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City.

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2. Basis of Preparation, Statement of Compliance, Basis of Consolidation and Changes in Accounting Policies and Disclosures

Basis of Preparation

The accompanying consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVTPL) and financial assets at fair value through other comprehensive income (FVOCI) which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency under Philippine Financial Reporting Standards (PFRS) Accounting Standards. All values are rounded to the nearest peso, except when otherwise indicated.

The consolidated financial statements provide comparative information in respect of the previous periods.

Statement of Compliance

The consolidated financial statements have been prepared in compliance with PFRS Accounting Standards.

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at September 30, 2025 and 2024. The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies.

Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights result in control. When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any gain or loss in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The consolidated financial statements as at September 30, 2025 and 2024 include the accounts of the Parent Company and the following subsidiaries:

		Direct Ownership	
Subsidiaries	Principal Activities	**2025**	2024
SCCP	Clearing agency	**100.00%**	100.00%
CMIC	Audit and surveillance unit	**100.00%**	100.00%
Premier	Software and IT services	**100.00%**	80.00%
PDSHC	Depository, registry, clearing and settlement services	**92.06%**	20.98%*
PRI**	Real estate	**100.00%**	−

** Reported as Investment in an Associate*
*** Incorporated on June 18, 2024.*

The principal place of business and country of incorporation of the Parent Company's subsidiaries is the Philippines.

<u>Changes in Accounting Policies and Disclosures</u>
The accounting policies adopted are consistent with those of the previous financial year, except for the new and amended standards which were applied starting January 1, 2025. Except as otherwise indicated, the adoption of the following new and amended standards did not have any significant impact on the Group's consolidated financial statements:

- Amendments to Philippine Accounting Standard (PAS) 1, *Classification of Liabilities as Current or Non-current*

  The amendments clarify:
  - That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
  - That classification is unaffected by the likelihood that an entity will exercise its deferral right.
  - That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

  The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

<u>Future Changes in Accounting Policies</u>
The Group did not early adopt the following new standards, amendments and improvements to PFRS Accounting Standards and Philippine Interpretations that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its consolidated financial statements unless otherwise indicated.

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards—Volume 11
  - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
  - Amendments to PFRS 7, *Gain or Loss on Derecognition*
  - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
  - Amendments to PFRS 10, Determination of a 'De Facto Agent'
  - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 18, *Presentation and Disclosure in Financial Statements*

The standard replaces PAS 1, *Presentation of Financial Statements*, and responds to investors' demand for better information about companies' financial performance. The new requirements include:

- Required totals, subtotals and new categories in the statement of profit or loss
- Disclosure of management-defined performance measures
- Guidance on aggregation and disaggregation

The Group is currently assessing the impact of this accounting standard.

- PFRS 19, *Subsidiaries without Public Accountability*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. Summary of Significant Accounting Policies and Financial Reporting

Determination of Fair Value
Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 **-** Quoted (unadjusted) market prices in active markets for identical assets or liabilities;

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

'Day 1 Difference'
Where the transaction price in a non-active market is different from the fair value based on other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day 1 difference') in the profit or loss unless it qualifies for recognition as some other type of asset. In cases where unobservable data is used, the difference between the transaction price and model value is recognized in the profit or loss only when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1 difference' amount.

Recognition, Measurement, Derecognition, Impairment and Offsetting of Financial Instruments

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Initial Recognition and Measurement. Financial assets are classified, at initial recognition, as financial assets measured at amortized cost, FVTPL and FVOCI. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVTPL, transaction costs that are attributable to the acquisition of the financial assets.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial liabilities are recognized initially at fair value and in the case of loans and borrowings, inclusive of directly attributable transaction costs (referred to herein as "debt issue costs").

The Group has no financial liabilities at FVTPL as at September 30, 2025 and 2024.

Subsequent Measurement. For purposes of subsequent measurement, financial assets and financial liabilities are classified as follows:

- Financial assets at FVTPL

  Financial assets at FVTPL comprise of quoted equity instruments, government securities and money market funds which the Group has not irrevocably elected, at initial recognition, to classify at FVOCI. The Group has no financial asset designated at FVTPL on initial recognition.

  As at September 30, 2025 and 2024, this category include investments in quoted equity securities, government securities and money market funds (see Note 8).

- Financial Assets at Amortized Cost

  This category includes financial assets: (a) which are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and (b) which contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

  As at September 30, 2025 and 2024, this category includes cash and cash equivalents, short-term investments, receivables, deposits in bank, claims under litigation, refundable security deposits, government securities and corporate debt securities (see Notes 7, 10, 11 and 17).

- Financial Assets at FVOCI with recycling

  This category includes financial assets: (a) which are held within a business model in which assets are managed to achieve a particular objective by both collecting contractual cash flows and selling financial assets; and (b) which contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

  As at September 30, 2025 and 2024, this category includes investments in government securities and corporate bonds (see Note 9).

- Financial Liabilities at Amortized Cost

  After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the EIR method.

  Debt issue costs are amortized over the life of the debt instrument using the EIR method. Debt issue costs are netted against the related loans and borrowings allocated correspondingly between the current and noncurrent portion.

  Gains and losses are recognized in the profit or loss when the liabilities are derecognized, as well as through the amortization process.

As at September 30, 2025 and 2024, this category includes accounts payable and other current liabilities (excluding payable to government agencies), loans payable (Note 20), and lease liabilities (see Notes 18 and 29).

Derecognition of Financial Assets and Financial Liabilities

Financial Assets. An entity shall derecognize a financial asset when, and only when:

- the contractual rights to the cash flows from the financial asset expire; or
- the Group transfers the contractual rights to receive the cash flows of the financial asset or retains the contractual rights to receive the cash flows of the financial assets, but assumes a contractual obligation to pay the cash flows to one or more recipients in an arrangement where:

    a. the Group has no obligation to pay amounts to the eventual recipients unless it collects equivalent amounts from the original asset. Short-term advances by the entity with the right of full recovery of the amount lent plus accrued interest at market rates do not violate this condition;

    b. the Group is prohibited by the terms of the transfer contract from selling or pledging the original asset other than as security to the eventual recipients for the obligation to pay them cash flows; and

    c. the Group has an obligation to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the entity is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents during the short settlement period from the collection date to the date of required remittance to the eventual recipients, and interest earned on such investments is passed to the eventual recipients.

When the Group transfers a financial asset, it evaluates the extent to which it retains the risks and rewards of ownership of the financial asset. The transfer of risks and rewards is evaluated by comparing the Group's exposure, before and after the transfer, with the variability in the amounts and timing of the net cash flows of the transferred asset. The Group has retained substantially all the risks and rewards of ownership of a financial asset if its exposure to the variability in the present value of the future net cash flows from the financial asset does not change significantly as a result of the transfer. The Group has transferred substantially all the risks and rewards of ownership of a financial asset if its exposure to such variability is no longer significant in relation to the total variability in the present value of the future net cash flows associated with the financial asset.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in profit or loss.

Impairment of Financial Assets

The Group's accounting for impairment losses for financial assets uses a forward-looking expected credit loss (ECL) approach. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows the Group expects to receive. For cash in bank, cash equivalents and short-term investments, the Group has applied the General Approach and has calculated ECL based on 12-month ECL. For trade receivables, deposits and other current receivables, the Group has applied the simplified approach and has calculated ECL based on lifetime ECL. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if significant increase in credit risk (SICR) is established. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Definition of Default and Credit-impaired Financial Assets. The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

- *Quantitative Criteria.* For trade receivables and all other financial assets subject to impairment, default occurs when the receivable becomes 90 days past due.

- *Qualitative Criteria.* The counterparty meets unlikeliness to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:

  a. The counterparty is experiencing financial difficulty or is insolvent;
  b. The counterparty is in breach of financial covenant(s);
  c. An active market for that financial assets has disappeared because of financial difficulties;
  d. Concessions have been granted by the Group, for economic or contractual reasons relating to the counterparty's financial difficulty;
  e. It is becoming probable that the counterparty will enter bankruptcy or other financial reorganization; or
  f. Financial assets are purchased or originated at a deep discount that reflects the incurred credit losses.

  The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to the ECL models throughout the Group's expected loss calculation.

Incorporation of Forward-looking Information. The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. To do this, the Group has considered a range of relevant forward-looking macro-economic assumptions for the determination of unbiased general industry adjustments and any related specific industry adjustments that support the calculation of ECLs.

Based on the Group's evaluation and assessment and after taking into consideration external actual and forecast information, the Group considers two or more economic scenarios and the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies, monetary authorities and selected private-sector and academic institutions.

The Group has identified and documented key drivers of credit risk and credit losses of each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The Group considers macro-economic factors such as GDP growth rates and inflation rates of selected countries in its analysis.

Predicted relationship between the key indicators and default and loss rates on portfolios of financial assets have been developed based on analyzing historical data over the past 5 years. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The Group has not identified any uncertain event that is relevant to its assessment of the risk of default occurring on the financial instrument.

Determining the Stage for Impairment. At each reporting date, the Group assesses whether there has been a significant increase in credit risk for financial assets since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Group considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and forward-looking analysis.

Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Group's investment grade criteria are considered to have a low credit risk. The provision for credit losses for these financial assets is based on a 12-month ECL. The low credit risk exemption has been applied on debt investments that meet the investment grade criteria of the Group from the time of origination.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the loss allowance measurement reverts from lifetime ECL to 12-months ECL.

Grouping of Instruments for Losses Measured on Collective Basis. For expected credit loss provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogeneous. In performing this grouping, there must be sufficient information for the Group to be statistically credible. Where sufficient information is not available internally, the Group has considered benchmarking internal/external supplementary data to use for modelling purposes. The characteristics and any supplementary data used to determine groupings are outlined below.

Trade receivables - Groupings for collective measurement:
a. Trading Participants
b. Listed Companies
c. Data Vendors

The following credit exposures are assessed individually:
- All Stage 3 assets, regardless of the class of financial assets
- The cash and cash equivalents, investment in debt securities and other long-term investments, and other financial assets

Write-off Policy. The financial exposures of the Group are written-off based on Management's decision of whether receivables from counterparties are still collectible or not.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

<u>Other Current Assets</u>
Other current assets include prepaid expenses which are expenses paid in advance and recorded as asset before they are utilized; restricted cash and short-term investments which relate to restricted cash in bank and short-term time deposits that are not available for use in operations; and security deposits, which are given to the lessor for the faithful compliance of all the Group's obligations under the lease contract and are refundable when the lease expires, which is expected to be within the next year. These are measured at cost.

<u>Value-added Tax (VAT)</u>
Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxable authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statement of financial position.

<u>Property and Equipment</u>
Property and equipment is stated at cost less accumulated depreciation and any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful lives of the depreciable assets:

Buildings	25 years
Building improvements	10 years
Registry, depository and custody equipment	5 to 10 years
Trading and exchange system equipment	3 to 7 years
Leasehold improvements	5 years or lease term, whichever is lower
Computer hardware and peripherals	3 to 5 years
Transportation equipment	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until these are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.

Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and readily for use.

Investment Property

Investment property comprises of building and building improvements. Investment property is held by the Group for capital appreciation and/or rental income purposes. Investment property is measured initially at cost, including transaction costs, less accumulated depreciation and accumulated impairment in value. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of an investment property.

Depreciation and amortization are calculated on a straight-line basis over the estimated useful life of 25 years.

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Investment property is derecognized when disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the profit or loss in the year of retirement or disposal.

Transfers are made to (or from) investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of change in use.

Construction in progress classified under investment property are carried at cost and transferred to the related investment property account when the construction and related activities to prepare the property for its intended use are complete, and the property is ready for occupation. Construction-in-progress is not depreciated until such time that the relevant assets are completed and are ready for use.

Software and System Development Costs

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Software and system development costs include cost of computer software and system development costs. These are measured on initial recognition at cost. Following initial recognition, computer software development costs are amortized using the straight-line method over their estimated useful life of five (5) to ten (10) years.

The amortization period and amortization method for computer software are reviewed at least at the end of each reporting period.

An intangible asset is derecognized upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any gain or loss arising upon derecognition and asset is included in the profit or loss.

Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in general and administrative expenses.

If the business combination is achieved in stages, the previously held equity interest is remeasured at its acquisition date fair value and any resulting gain or loss is recognized in profit or loss. The fair value of previously held equity interest is then included in the amount of total consideration transferred.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognized in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit (CGU) and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained.

Investment in an Associate
An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investment in an associate is accounted for under the equity method.

Under the equity method, investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share in the net asset of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

Profit or loss reflects the Parent Company's share in the result of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest on the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting date as the Group. The accounting policies of the associate conform to those used by the Group for like transactions and events in similar circumstances.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognized the loss as part of "Equity in net income/loss of an associate" account in the consolidated statement of comprehensive income.

Non-controlling Interests
Non-controlling interests represent the portion of profit or loss and the net assets not owned directly or indirectly, by the Group and are presented separately in profit or loss and within equity in the consolidated statement of financial position, separately from equity attributable to the Parent Company. Any losses applicable to the non-controlling interests are allocated against the interests of the non-controlling interests even if this results in the non-controlling interests having a deficit balance. Acquisitions of non-controlling interests that do not result in a loss of control are accounted for as an equity transaction whereby the difference between the consideration and the fair value of the share of the net assets acquired is recognized as an equity transaction and attributed to the owners of the Parent Company.

Impairment of Nonfinancial Assets
The carrying values of property and equipment, investment property, right-of-use assets, computer software and investment in an associate are reviewed for impairment when events or

changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying values exceeds the estimated recoverable amounts, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

<u>Deferred Fees and Others</u>
Deferred fees and others include deferred output VAT which is reported as output VAT upon collection of related receivable and fees for the "Bull Run" and other sponsorship events which are collected but not yet earned as at reporting date.

<u>Capital Stock and Additional Paid-in Capital</u>
Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value are recognized as additional paid-in capital.

<u>Subscribed Capital Stock / Subscription Receivable</u>
Subscribed shares are the shares of stock that will be issued upon completion of an installment purchase contract with an investor. Subscribed shares are presented net of subscription receivable.

<u>Treasury Shares</u>
The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital.

<u>Retained Earnings</u>
Retained earnings represent accumulated earnings, net of dividends declared and the cumulative effect of the retrospective application of change in accounting policy.

Donated Capital and Donation Income
Donations received, other than those contributions from equity participants, are recognized as income on the date of donation. Donations in kind are recognized at the fair value of asset received. Donated capital becomes available for dividend declaration when all conditions or restrictions are met such that the asset received will be for the exclusive use of the Exchange for at least a period of five (5) to ten (10) years from the date of the occupancy or turnover of the asset.

Dividends on Common Shares
Dividends on common shares are recognized as a liability and deducted from equity when approved by the BOD of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Employee Stock Purchase Plan
All regular employees in good standing are granted options to purchase shares, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). ESPP is considered an equity-settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which these are granted. The fair value is determined using the quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date). The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period. No expense is recognized for awards that do not ultimately vest.

Revenue Recognition
The following is a description of the principal activities separated by reportable segments from which the Group generates its revenue.

Listing-related revenues mainly pertain to fees from approved applications for Initial Public Offering (IPO) and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange also recognizes annual fees for maintenance of listings which are directly affected by the change in number of shares and market price.

These revenues also include fees, which comprises initial application fees and annual maintenance fees, earned for the maintenance, monitoring and publication of disclosures submissions, and monitoring trading activity of the admitted security in the Trading System Infrastructure of the Philippine Dealing & Exchange Corp. (PDEx), a subsidiary of PDSHC.

Listing-related Fees

Filing or Listing Fees. Based on the revised rules for listing applications, the Exchange's processing fees shall be discontinued and filing fees shall be paid in full upon filing of the applications for IPO and additional listings with the Exchange. The filing fees are non-refundable and are computed and billed based on (%) of market capitalization.

Revenue is recognized using percentage of hours spent on the relevant activities of the departments performing the listing service upon listing and over the listed companies' average listing life of fifteen (15) years.

Listing Maintenance Fees. These are annual fee paid by listed customer based on percentage of market capitalization. Revenue is earned by means of providing ongoing market access and maintenance of the listing (for example, maintaining technology, regulatory oversight and general operation). Revenue is recognized over-time by spreading out through the year.

Processing Fees. These are non-refundable upfront fees paid to administer the requirements of the applying customer before the approval to listing. Revenue is recognized upon receipt of the payment and services are rendered on a period of 20-30 days. The Parent Company recognizes processing fees at point in time upon the receipt of payment from customers.

Depository Securities Account Fees

These fees are charged by the subsidiary of PDSHC, Philippine Depository & Trust Corp., for the use of the depository infrastructure to maintain and process depository securities account. Fees are recognized as services are charged on a daily basis.

Service-related Fees.

Service fees are revenue from services provided by the subsidiaries (SCCP and CMIC). These include Settlement and Clearing Services from SCCP; Seminars and Management Services from CMIC.

Settlement and Clearing Fee. These are income from services provided to clearing members that includes risk management functions during the settlement and clearing process of any eligible trades. Revenue from these services is recognized at a point in time.

Custodial Fee. Revenue is recognized for custody and management of the funds of suspended trading participants as well as for services in the settlement of customer claims.

Audit Fee. Revenue is recognized for the conduct of monthly audit in the absence of an Associated Person. Revenue is recognized when the services are rendered.

Seminar Fee. These are income from seminars and trainings conducted for the TP. Revenue is recognized when services are rendered.

Trading-related Fees

Trading related fees are revenues that are directly affected by the trading volume of the Exchange for the period. These include Transaction/Block Sales, Data Feed and Subscription Fees.

Transaction Fees. These are revenues billed based on 0.005% of the peso value of the volume of the buying and selling of shares of stocks by Investors to Trading Participants/Brokers of the Parent Company. Revenue is recognized at point in time once the trading transaction is completed.

This revenue also includes transaction fees charged to Trading Participants by the subsidiary of PDSHC, Philippine Dealing & Exchange Corp., for trades executed under its Trading System Infrastructure. Dealers and Brokers are charged ₱25.00 per million of trade value, while Qualified Investors are charged ₱12.50 per million, both prorated if the remaining days to maturity are less than 365. For trades below ₱500,000 in volume, no fees are charged. Revenue are recognized when the performance obligation is satisfied at a point in time (i.e. as the service is rendered).

Data Feed Fees. This revenue account consists of subscription and data feed fees paid by the data feed customers for the access to market data other than those basic information posted in the Exchange's disclosure website. Revenue is recognized over time on a monthly basis.

Block Sales. This revenue pertains to income computed from 0.005% of the peso value of the volume of the block sale transactions. Block sales are pre-arranged stock transactions by and among the broker dealers' clients or among two brokers representing their clients whose trading transactions do not go below ₱20.0 million. Revenue is recognized at point in time once the block sale transaction is completed.

Subscription Fees. These are fees paid by the Trading Participants to allow them to transact in trading activities with the PSE through access in different PSE trading sites and facilities. Revenue is recognized over the period covered by the subscription.

<u>Contract Balances</u>

- *Trade Receivables.* A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).

- *Contract Assets.* A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

- *Contract Liabilities.* A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration or an amount of consideration is due from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due, whichever is earlier. If the revenue recognized which is determined based on average period of listing is lower than the amount collected as of date arising from the contract with the customer, a contract liability is recognized for the difference.

Interest Income. Revenue is recognized as the interest accrues, taking into account the effective yield of the asset.

Dividend Income. Dividend income is recognized when the Group's right to receive the dividend payment is established.

<u>Expense Recognition</u>
Expenses are recognized in the profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in the profit or loss on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and

rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statements of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Pension and Other Post-employment Benefits

The Parent Company and PDSHC have funded noncontributory defined benefit retirement plans while SCCP has unfunded noncontributory defined benefit retirement plan. CMIC does not have an established retirement plan and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA 7641). The retirement funds of the Parent Company and PDSHC are being administered by its trustees. The Group's retirement cost is actuarially determined using the projected unit credit method. This method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost;
- Net interest on the net defined benefit liability or asset; and
- Remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which these arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Group recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Group recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Employee Leave Entitlements. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting date. These are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to settle within one year from the end of the reporting date as a result of the unused entitlement. The liability for entitlements expected to be settled beyond one year after the end of the reporting date are recognized under "Pension liability and others" account in the consolidated statement of financial position and measured at the present value of the benefit as at the end of the reporting date.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

<u>Leases</u>
The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a Lessee. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

- *Right-of-use Assets.* The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received and estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term as follows:

Data recovery sites	3 to 5 years
Office and parking spaces	5 to 6 years
Transportation equipment	5 years

  Right-of-use assets are subject to impairment. Refer to the accounting policies in the section on impairment of nonfinancial assets.

- *Lease Liabilities.* At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. Variable payments that do not depend on an index or a rate are as recognized as expense in the period in which the event or condition that triggers the payment occurs.

  In calculating the present value of lease payments, the Group uses its IBR at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Group as a Lessor. Leases where the Exchange does not transfer to the lessee substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Lease income arising is accounted for on a straight-line basis over the lease terms and are recognized as revenue in the statement of comprehensive income due to its operating nature.

<u>Income Taxes</u>

Current Income Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Deferred Income Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and net operating loss carry over (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward benefits of excess of MCIT over the RCIT and NOLCO can be utilized, except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred income tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiaries.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Income tax relating to OCI is recognized in OCI section of the consolidated statement of comprehensive income.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date. All differences are taken to profit or loss. For income tax purposes, foreign exchange gains and losses are treated as taxable income or deductible expenses when realized.

Earnings Per Share (EPS)
Basic EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, with retroactive adjustments for any stock dividends declared, if any.

Diluted EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, adjusted for the effects of potential dilutive shares. Stocks under the ESPP are deemed to have been converted into shares on the date of grant.

Operating Segments
For management purpose, the Group is organized and managed under a single business segment, the equity, clearing and settlement business, in 2023. Upon acquisition of additional interest in PDSHC in December 2024, the Group has two business segments which are the equity, clearing and settlement business and depository and fixed income business. These are the basis upon which the Parent Company reports its primary segment information.

Provisions
Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies
Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to the consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statement when an inflow of economic benefits is probable.

Events after the Reporting Period
Post-year-end events that provide additional information about the Group's financial position at the end of the reporting period (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statement when material.

4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRS requires the Group to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, at the end of the reporting date. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be determinable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Identifying Performance Obligation for Listing Services. The Exchange provides listing services for approved applications for IPO and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange determines that there is one performance obligation in the contract which is the service of being listed in the PSE.

Determination of Lease Term of Contracts with Renewal Options - The Group as a Lessee. The Group has lease contracts that include renewal options and termination options. The Group applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate.

The Group included the renewal period of one (1) year as part of the lease term for leases of data recovery sites with shorter non-cancellable period (i.e., 3 to 5 years). The Group typically exercises its option to renew for these leases because there will be a significant negative effect on operations if a replacement asset is not readily available.

Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when these occur.

Estimation of Service Period and Determination of the Timing of Revenue Recognition for Listing Services. The Exchange applies judgment and estimates on the identification and timing of satisfaction of performance obligations. The Exchange determines the service period and percentage of services rendered using historical analysis of listing durations and experience. Listing-related fees are recognized using percentage of hours spent on the relevant activities of the departments performing the listing service upon listing and over the listed companies' average listing life of fifteen (15) years. The estimated service period is reassessed periodically to reflect the Exchange's best estimate. The percentage of services rendered are reassessed no later than five years or anytime wherein significant changes would warrant such reassessment to properly reflect the Exchange's best estimate.

Revenue from listing fees amounted to ₱216.74 million and ₱219.97 million for the periods ended September 30, 2025 and 2024, respectively (see Note 23).

Leases - Estimating the IBR. The Group cannot readily determine the interest in the lease, therefore, it uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for entities that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the entity's stand-alone credit rating).

The Group's lease liabilities amounted to ₱90.30 million and ₱62.09 million as at September 30, 2025 and 2024, respectively (see Note 29).

Impairment of Financial Assets at FVOCI. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment in assessing the impairment of its financial assets at FVOCI. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established.

There were no provisions for impairment losses on the financial assets at FVOCI for the periods ended September 30, 2025 and 2024. The total carrying values of the financial assets at FVOCI amounted to ₱921.36 million and ₱1.13 billion as at September 30, 2025 and 2024, respectively (see Note 9).

Impairment of Receivables. Allowance for doubtful accounts is maintained at a level considered adequate to provide for potentially uncollectible receivables. The level of allowance is based on the Group's historical credit loss experience and forward-looking factors specific to the debtors and the economic environment that may affect collectability. The Group applies the simplified approach designed to identify potential uncollectible receivables and is performed on a continuous basis throughout the period.

There were no provisions for impairment of receivables for the periods ended September 30, 2025 and 2024. The carrying values of receivables amounted to ₱311.56 million and ₱132.02 million as at September 30, 2025 and 2024, respectively (see Note 11).

Recoverability of Property and Equipment, Investment Property, Right-of-use Assets and Computer Software. The Group performs impairment review of property and equipment, investment property, right-of-use assets and computer software when certain impairment indicators are present. Determining the fair value of assets, which requires the determination of future cash flows expected to be generated from the continued use and ultimate disposition of such assets, requires the Group to make estimates and assumptions that can materially affect the consolidated financial statements. Future events could cause the Group to conclude that the assets are impaired. Any resulting impairment loss could have a material adverse impact on the Group's financial position and performance.

There were no provisions for impairment of property and equipment, investment property, right-of-use assets and computer software for the periods ended September 30, 2025 and 2024 (see Notes 13, 14, 17 and 29).

The carrying values of property and equipment, investment property, right-of-use assets and software and system development costs as at September 30 are as follows:

	2025	2024
Property and equipment (see Note 13)	**₱1,073,436,087**	₱1,096,158,116
Investment property (see Note 14)	**123,883,047**	129,874,504
Right-of-use assets (see Note 29)	**82,587,724**	50,995,417
Software and system development costs (see Note 17)	**28,255,620**	503,896

Recoverability of Goodwill. Goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU, or group of CGUs, to which the goodwill relates. When the recoverable amount of the CGU, or group of CGUs, is less than the carrying amount of the CGU, or group of CGUs, to which goodwill has been allocated, an impairment loss is recognized. Impairment losses relating to goodwill cannot be reversed in future periods. There were no provisions for impairment of goodwill for the period ended September 30, 2025. The carrying value of goodwill amounted to ₱1.23 billion as at September 30, 2025 (see Note 15).

Estimation of Useful Lives of Property and Equipment, Software and System Development Costs and Investment Property. The Group estimated the useful lives of its property and equipment, computer software and investment property based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment, computer software and investment property would increase the recorded depreciation and amortization expense and decrease the related assets.

There were no changes in the estimated useful lives of the Group's property and equipment and computer software as at September 30, 2025 and 2024.

Contingencies. The Group is currently involved in various legal proceedings. The estimate of the probable costs for the resolution of these proceedings has been developed in consultation with inhouse as well as outside legal counsel handling defense in these matters and is based upon an analysis of potential results. The Group currently does not believe that these proceedings will have a material adverse effect on its consolidated financial position and performance. It is possible, however, that future consolidated financial performance could be materially affected by changes in the estimates or in the effectiveness of strategies relating to these proceedings. No provisions were made in relation to these proceedings

Present Value of Pension and Other Employee Benefits. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. Other key assumptions for pension obligations are based in part on current market conditions. While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension obligations.

Employee leave entitlements that are expected to be settled within one year from reporting date is included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position. Otherwise, this is included in "Pension liability and others" account in the consolidated statement of financial position.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation.

Pension liability and others amounted to ₱61.45 million and ₱25.81 million as at September 30, 2025 and 2024, respectively (see Note 31).

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at September 30, 2025 and 2024, the Group recognized total deferred tax assets amounting to ₱288.81 million and ₱293.55 million, respectively.

5. Financial Risk Management Objectives and Policies

The Group's principal financial instruments consist of cash and cash equivalents, short-term investments, financial assets at FVTPL and FVOCI. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has other financial assets and liabilities such as receivables, refundable security deposits, deposits in bank, claims under litigation, accounts payable and other current liabilities (excluding payable to government agencies) and lease liabilities, which arise directly from its operations. It is the Group's policy not to directly engage in the trading of financial instruments.

The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, interest rate risk and foreign currency risk. The Group's BOD, management and the Corporate Governance Officer review and agree on the policies of managing each of these risks as summarized below.

<u>Liquidity Risk</u>
Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows. To meet the requirement for liquidity, adequate cash flow is provided for administrative operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

	As at September 30, 2025				
	Within a Year	**1–2 Years**	**More than Two Years**	**No Maturity Date**	**Total**
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	**₱1,763,751,504**	**₱–**	**₱–**	**₱105,300**	**₱1,763,856,804**
Short-term investments	**82,822,163**				**82,822,163**
Receivables:					
Receivables from:					
Trading participants	**211,078,127**	**–**	**–**	**–**	**211,078,127**
Data vendors	**25,796,749**	**–**	**–**	**–**	**25,796,749**
Listed companies	**11,564,809**	**–**	**–**	**–**	**11,564,809**
Accrued interest receivable	**10,132,558**	**–**	**–**	**–**	**10,132,558**
Receivable from other fund members	**3,368**	**–**	**–**	**–**	**3,368**
Government securities	**957,857,614**	**–**	**–**	**–**	**957,857,614**
Others	**43,836,832**	**–**	**–**	**–**	**43,836,832**
Current security deposit	**86,681**	**–**	**–**	**–**	**86,681**
Other noncurrent assets:					
Refundable security deposits	**–**	**–**	**9,175,793**	**–**	**9,175,793**
Claims under litigation	**–**	**–**	**51,166,892**	**–**	**51,166,892**
Deposit in bank	**–**	**–**	**345,284**	**–**	**345,284**
Financial assets at FVTPL:					
Quoted equity securities	**1,146,767,537**	**–**	**–**	**4,000,000**	**1,150,767,537**
Money market funds	**82,623,894**	**–**	**–**	**–**	**82,623,894**
Government debt securities	**1,358,286**	**–**	**–**	**–**	**1,358,286**
Financial assets at FVOCI:					
Government debt securities*					
Short-term	**158,128,222**	–	–	**–**	**158,128,222**
Long-term	**–**	**368,805,766**	**282,257,444**	**–**	**651,063,210**
Corporate bonds:*					
Short-term	**9,708,207**	–	–	**–**	**9,708,207**
Long-term	–	**56,840,568**	**45,614,978**	**–**	**102,455,546**
	₱4,505,516,551	**₱425,646,334**	**₱388,560,391**	**₱4,105,300**	**₱5,323,828,576**
Financial Liabilities					
Financial liabilities at amortized cost					
Loans payable	**(₱90,000,000)**	**(₱90,000,000)**	**(₱720,000,000)**	**₱–**	**(₱900,000,000)**
Other financial liabilities:					
Accounts payable and other current liabilities:					
Accrued expenses**	**(₱125,655,002)**	**₱–**	**₱–**	**₱–**	**(₱125,655,002)**
Dividend payable	**(105,176,742)**	**–**	**–**	**–**	**(105,176,742)**
Trade payables	**(83,267,088)**	**–**	**–**	**–**	**(83,267,088)**
Due to SEC	**(33,273,351)**	**–**	**–**	**–**	**(33,273,351)**
Others	**(69,942,186)**	**–**	**–**	**–**	**(69,942,186)**

	As at September 30, 2025				
	Within a Year	**1–2 Years**	**More than Two Years**	**No Maturity Date**	**Total**
	(₱507,314,369)	**(₱90,000,000)**	**(₱720,000,000)**	**₱–**	**(₱1,317,314,369)**

**Including interest.*
***Excluding accrued taxes amounting to ₱18.47 million.*

	As at September 30, 2024				
	Within a Year	1–2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	₱1,545,232,651	₱–	₱–	₱105,000	₱1,545,337,651
Short-term investments	832,438,782				832,438,782
Receivables:					
Receivables from:					
Trading participants	48,896,758	–	–	–	48,896,758
Data vendors	43,764,011	–	–	–	48,896,758
Listed companies	4,770,824	–	–	–	4,770,824
Accrued interest receivable	19,820,990	–	–	–	19,820,990
Receivable from other fund members	3,368	–	–	–	3,368
Others	6,109,042	–	–	–	6,109,042
Current security deposit	86,681	–	–	–	86,681
Other noncurrent assets:					
Refundable security deposits	–	–	1,179,906	–	1,179,906
Claims under litigation	–	–	51,166,892	–	51,166,892
Deposit in bank	–	–	345,284	–	345,284
Financial assets at FVTPL	1,247,195,602	–	–	4,000,000	1,251,195,602
Financial assets at FVOCI:					
Government debt securities -*					
Short-term	244,171,651	19,988,406	–	–	264,160,057
Long-term	–	158,485,761	596,783,102	–	755,268,862
Corporate bonds:*					
Long-term	1,427,425	19,277,778	92,798,634	–	113,503,838
	₱3,993,917,785	₱197,751,945	₱742,273,818	₱4,105,000	₱4,938,048,548
Financial Liabilities					
Other financial liabilities -					
Accounts payable and other current liabilities:					
Trade	(₱84,222,595)	₱–	₱–	₱–	(₱84,222,595)
Due to SEC	(23,489,928)	–	–	–	(23,489,928)
Accrued expenses**	(62,467,415)	–	–	–	(62,467,415)
Others	(2,998,679)	–	–	–	(2,998,679)
	(₱173,178,617)	₱–	₱–	₱–	(₱173,178,617)

**Including interest.*
***Excluding accrued taxes amounting to ₱4.31 million.*

<u>Credit Risk</u>

Credit risk refers to the potential loss arising from any failure by the Group’s counterparties to fulfill their contractual obligations, as and when they fall due. The Group’s credit exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of clearing participants and takes note of participants with potential default.

The credit risk of the Group's financial assets arises from default of the counterparty with maximum exposure equal to the carrying amounts of these financial instruments. The fair values of these financial instruments are disclosed in Note 6.

Credit Quality of Financial Assets
The credit quality of financial assets is grouped according to stage whose description is explained as follows:

Stage 1 - those that are considered current and up to 30 days past due, and based on change in rating, delinquencies and payment history, do not demonstrate significant increase in credit risk.

Stage 2 - those that, based on change in rating, delinquencies and payment history, demonstrate significant increase in credit risk, and/or are considered more than 30 days past due but does not demonstrate objective evidence of impairment as of reporting date.

Stage 3 - those that are considered in default or demonstrate objective evidence of impairment as of reporting date.

Credit Risk Relating to Financial Liabilities
While credit risk primarily relates to financial assets, the Group's exposure also includes counterparty risk in relation to its loans payable. The Group's loans were obtained from reputable local financial institutions with sound credit standing. Management believes that the risk of default by these counterparties is low, and that the Group's exposure to credit risk on its financial liabilities is not significant.

	As at September 30, 2025			
	ECL Staging			
	Stage 1	Stage 2	Stage 3	
	12-month-ECL	Lifetime ECL	Lifetime ECL	Total
Financial assets at amortized cost:				
Cash and cash equivalents*	**₱1,763,751,504**	**₱–**	**₱–**	**₱1,763,751,504**
Short-term investments	**82,822,163**	**–**	**–**	**82,822,163**
Receivables:				
Receivables from:				
Trading participants	**208,438,775**	**1,996,899**	**642,453**	**211,078,127**
Listed companies	**5,113**	**6,559,496**	**5,000,200**	**11,564,809**
Data vendors	**8,206,486**	**4,428,365**	**13,161,898**	**25,796,749**
Accrued interest receivable	**4,799,164**	**5,333,394**	**–**	**10,132,558**
Receivable from other fund members	**3,368**	**–**	**–**	**3,368**
Others	**38,400,874**	**–**	**5,435,957**	**43,836,831**
Current security deposits	**86,681**	**–**	**–**	**86,681**
Government debt securities	**957,857,614**	**–**	**–**	**957,857,614**
Other noncurrent assets:				
Refundable security deposits	**–**	**9,175,793**	**–**	**9,175,793**
Claims under litigation	**–**	**51,166,892**	**–**	**51,166,892**
Deposits in bank	**–**	**345,284**	**–**	**345,284**
Financial assets at FVOCI:				
Government debt securities-				
Short-term	**167,836,429**	**–**	**–**	**167,836,429**
Long-term	**641,355,004**	**–**	**–**	**641,355,004**
Corporate bonds:				
Long-term	**112,163,752**	**–**	**–**	**112,163,752**
	₱3,985,726,927	**₱79,006,123**	**₱24,240,508**	**₱4,088,973,558**

**Excluding cash on hand amounting to ₱0.11 million.*

As at September 30, 2024				
	ECL Staging			
	Stage 1	Stage 2	Stage 3	
	12-month-ECL	Lifetime ECL	Lifetime ECL	Total
Financial assets at amortized cost:				
Cash and cash equivalents*	₱1,545,232,651	₱–	₱–	₱1,545,232,651
Short-term investments	832,438,782	–	–	832,438,782
Receivables:				
Receivables from:				
Trading participants	48,520,061	82,629	294,067	48,896,758
Listed companies	322,131	412,321	4,036,371	4,770,824
Data vendors	7,095,078	22,018,754	14,650,178	43,764,011
Accrued interest receivable	3,874,345	15,946,645	–	19,820,990
Others	1,098,393	–	5,014,018	6,112,410
Current security deposits	86,681	–	–	86,681
Other noncurrent assets:				
Refundable security deposits	–	1,179,906	–	1,179,906
Claims under litigation	–	51,166,892	–	51,166,892
Deposits in bank	–	345,284	–	345,284
Financial assets at FVTPL	1,251,195,602	–	–	1,251,195,602
Financial assets at FVOCI:				
Government debt securities-				
Short-term	265,587,482	–	–	265,587,482
Long-term	753,841,437	–	–	753,841,437
Corporate bonds:				
Long-term	113,503,838	–	–	113,503,838
	₱4,822,796,481	₱91,152,431	₱23,994,634	₱4,937,943,548

**Excluding cash on hand amounting to ₱0.12 million.*

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.

In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scripless Securities under the name of the Group.

The Head of Finance is responsible for the identification of investments that provide a relatively stable rate of return and endorses it to the Treasurer or President for approval. The Group is guided by a BOD who approved investment policy guidelines. Any exemption to the set policy is subject to the approval of the BOD. The Investments Committee assists the BOD in fulfilling its oversight responsibilities over the investment portfolio of the Exchange and investment activities of management.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in equity price, interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVTPL on the consolidated statements of financial position. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

Interest Rate Risk. The Group's exposure to interest rate risk arises from its loans payable which is subject to changes in market interest rates. Changes in market interest rates could affect the Group's future interest payments and cash flows.

As at September 30, 2025, the Group has an outstanding term loan amounting to ₱900 million bearing a 6.56% per annum fixed interest rate. Since the borrowing carries a fixed rate, the Group's exposure to interest rate fluctuations is not significant.

Management regularly monitors prevailing market interest rates to assess the potential impact on future financing arrangements and ensures that the Group's exposure remains within acceptable limits.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at September 30, 2025 and 2024:

	2025		2024	
	In USD	**In Php**	In USD	In Php
Financial assets:				
Financial assets at FVTPL	**$5,487,921**	**₱319,375,069**	$5,290,758	₱296,441,143
Cash and cash equivalents	**3,050,781**	**177,543,256**	641,308	35,932,510
Receivables	**376,950**	**21,937,009**	645,049	36,142,104
	$8,915,652	**₱518,855,334**	$6,577,115	₱368,515,757

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rates used were ₱58.196 to US$1.00 and ₱56.03 to US$1.00, the Philippine peso to U.S. Dollar exchange rates as at September 30, 2025 and 2024, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

2025		2024	
USD Strengthens/ (Weakens)	**Effect on Income before Tax (in millions)**	USD Strengthens/ (Weakens)	Effect on Income before Tax (in millions)
3.87%	**₱20.08**	0.96%	₱3.54
(3.87%)	**(20.08)**	(0.96%)	(3.54)

The increase in ₱ rate as against US$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.

There is no other impact on the equity other than those already affecting the consolidated statement of profit or loss.

6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets and liabilities, by category and by class, as at September 30, 2025 and 2024:

	2025			
		Fair Value		
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value				
Financial assets at FVTPL				
Quoted equity securities	**₱1,150,767,537**	**₱1,146,767,537**	**₱4,000,000**	**₱–**
Money market funds	**82,623,894**	**–**	**82,623,894**	**–**
Investment in government securities	**1,358,286**	**–**	**1,358,286**	**–**
Financial assets at FVOCI:				
Government securities:				
Current	**167,836,429**	**–**	**167,836,429**	**–**
Long-term	**641,355,004**	**–**	**641,355,004**	**–**
Corporate bonds:				
Long-term	**112,163,752**	**112,163,752**	**–**	**–**
Financial assets at amortized cost:				
Current security deposits	**86,681**	**–**	**–**	**86,681**
Government securities	**957,857,614**	**–**	**957,857,614**	**–**
Claims under litigation	**51,166,892**	**–**	**–**	**51,166,892**
Deposits in bank	**345,284**	**–**	**–**	**345,284**
Refundable deposits	**9,175,793**	**–**	**–**	**9,175,793**
	1,939,987,449	**112,163,752**	**1,767,049,047**	**60,774,650**
	₱3,174,737,166	**₱1,258,931,289**	**₱1,855,031,227**	**₱60,774,650**
Liabilities measured at fair value -				
Noncurrent lease liabilities	**₱58,794,816**	**₱–**	**₱–**	**₱58,794,816**
Financial liabilities at amortized cost				
Loans payable	**900,000,000**	**–**	**900,000,000**	**–**
	₱958,794,816	**₱–**	**₱900,000,000**	**₱58,794,816**

	2024			
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVTPL	₱1,251,195,602	₱1,247,195,602	₱4,000,000	₱–
Investment property	129,874,504			129,874,504
Financial assets at FVOCI:				
Government securities -				
Current	265,587,482	–	265,587,482	–
Long-term	753,841,437	–	753,841,437	–
Corporate bonds:				
Current	–	–	–	–
Long-term	113,503,838	113,503,868	–	–
Other noncurrent assets -				
Refundable deposits	1,179,906	–	–	1,179,906
	1,134,112,663	113,503,838	1,019,428,919	1,179,906
	₱2,515,182,769	₱1,360,699,440	₱1,023,428,919	₱131,054,410
Liabilities measured at fair value -				
Noncurrent lease liability	₱56,811,620	₱–	₱–	₱56,811,620

For the periods ended September 30, 2025 and 2024, there were no transfers made among the three levels in the fair value hierarchy.

Cash and Cash Equivalents, Short-term Investments, Receivables excluding Advances to Employees, Current portion of Refundable Security Deposits and Deposits in Bank, Claims under Litigation, Accounts Payable, Current portion of Lease Liabilities and Other Current Liabilities excluding Payable to government agencies

The carrying amounts approximate the fair values because of their short-term nature or due to the immaterial effect of discounting when present value of future cash flows from these instruments are calculated.

Financial Assets at FVTPL
The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable.

Financial Assets at FVOCI
The fair values of the financial assets at FVOCI are determined by reference to quoted market price at the close of business.

Noncurrent Portion of Lease Liabilities
The fair value is based on the discounted value of expected future cash flows using the applicable interest rate.

7. Cash and Cash Equivalents and Short-Term Investments

This account consists of:

	2025	2024
Cash on hand and in banks	**₱112,633,717**	₱99,453,930
Cash equivalents	**1,651,223,087**	1,445,883,721
	₱1,763,856,804	₱1,545,337,651

Cash in banks earn 0.0625% in 2025 and 2024 bank deposit rates. Time deposits are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 1.75% to 6.00% in 2025 and 5.10% to 6.125% in 2024.

Interest income earned from cash and cash equivalents amounted to ₱66.24 million and ₱57.70 million in 2025 and 2024, respectively (see Note 24).

Short-Term Investments

Short-term investments are made for varying periods with original maturity of over 90 days from dates of placement and earn interest rates ranging from 3.75% to 4.50% in 2025 and 6.20% to 7.00% in 2024.

8. Financial Assets at FVTPL

This account consists of:

	2025	2024
Investment in quoted equity securities	**₱1,150,767,537**	₱1,251,195,602
Investment in money market funds	**82,623,894**	–
Investment in government securities	**1,358,286**	–
	₱1,234,749,717	₱1,251,195,602

Investment in Quoted Equity Securities

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The funds were invested in traded equity securities.

Investment in Money Market Funds

Investment in money market funds represents investments in unit investment trust funds that invest in time deposits, special deposit accounts and other low risk short-term fixed income securities. Investment in money market funds is regarded as highly liquid and are redeemable anytime.

Investment in Government Securities

This account consists of investments in Philippine government securities.

The fair value of the financial assets at FVTPL amounted to ₱1,234.75 million and ₱1,251.20 million as at September 30, 2025 and 2024, respectively.

Mark-to-market gain (loss) on financial assets at FVTPL amounted to (₱41.57 million) and ₱ 130.51 million in 2025 and 2024, respectively.

Dividend income earned on financial assets at FVTPL amounted to ₱24.62 million and ₱20.58 million in 2025 and 2024, respectively.

Interest income from investments at FVTPL amounted to ₱10.16 million and ₱9.79 million and in 2025 and 2024, respectively (see Note 24).

The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable (see Note 6).

9. Financial Assets at FVOCI

This account consists of investments in debt securities as of September 30:

	2025	2024
Government debt securities	**₱809,191,433**	₱1,019,428,919
Corporate bonds	**112,163,752**	113,503,838
	921,355,185	1,132,932,757
Less: current portion	**167,836,429**	265,587,482
Noncurrent portion	**₱753,518,756**	₱867,345,275

Current portion of financial assets at FVOCI as at September 30, 2025 pertain to government securities and corporate bonds with interest rate of 3.79% to 5.50% which will mature in 2025 to 2026. Current portion of financial assets at FVOCI as at September 30, 2024 pertain to government securities and corporate bonds with interest rate of 3.626% to 4.915% and maturities in 2024 to 2025.

Noncurrent government debt securities and corporate bonds as at September 30, 2025 earn annual interest rates ranging from 3.325% to 6.26% and 5.099% to 8.008%, respectively, with maturities in 2026 to 2032 and 2026 to 2029, respectively. Noncurrent government debt securities and corporate bonds as at September 30, 2024 earn annual interest rates ranging from 3.325% to 6.26% and 3.787% to 8.08%, respectively, with maturities in 2025 to 2032 and 2026 to 2029, respectively.

Interest income earned from financial assets at FVOCI amounted to ₱52.81 million and ₱37.01 million in 2025 and 2024, respectively (see Note 24).

The movement of net unrealized gain (loss) on financial assets at FVOCI as at September 30, 2025 and 2024 follows:

	2025	2024
Balance at beginning of year	**(₱18,705,976)**	(₱23,299,279)
Gain on change in fair value	**12,699,731**	14,331,245
Balance at end of year	**(₱6,006,245)**	(₱8,968,034)

10. Financial Assets at Amortized Cost

As of September 30, 2025, this account consists of government debt securities amounting to

Government debt securities	**₱953,214,224**
Corporate debt securities	**4,643,390**
	₱957,857,614

This account consists of investments in Philippine government securities that earn EIRs ranging from 5.13% to 5.68% in 2025. All of the outstanding investments in government debt securities as of September 30, 2025 are due within one year.

The Group also has outstanding placements evidenced by promissory notes issued by RCBC Rental Corporation. These placements earn interest rates of 4.00% in 2025. The expected settlement of these placements follow:

Due within one year	**₱261,071**
Due beyond one year	**4,382,319**
	₱4,643,390

11. Receivables

This account consists of:

	2025	2024
Receivables from:		
Trading participants (see Note 33)	**₱211,078,127**	₱48,896,758
Data vendors	**25,796,749**	43,764,011
Listed companies	**11,564,809**	4,770,824
Accrued interest receivable (see Note 24)	**10,132,558**	19,820,990
Advances to/receivables from:		
Officers and employees	**12,293,057**	11,175,178
Suppliers	**336,000**	336,000
Other fund members	**3,368**	3,368
Others	**43,836,832**	6,109,042
	315,041,500	134,876,171
Less allowance for impairment loss	**3,480,146**	2,857,961
	₱311,561,354	₱132,018,210

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

The allowance for impairment losses as at September 30, 2025 and 2024 amounted to ₱3.48 million and ₱2.86 million, respectively.

12. Other Current Assets

This account consists of:

	2025	2024
Prepaid expenses	**₱145,749,483**	₱165,872,383
Restricted cash and short-term investments	**60,646,438**	–
Input VAT - net of noncurrent portion	**13,740,709**	19,355,331
Security deposits (see Note 29)	**86,681**	86,681
Supplies and others	**27,821,107**	10,905,909
	₱248,044,418	₱196,220,304

Prepaid expenses include prepayment of insurance, supplies, real property taxes, membership dues, maintenance and other expenses which are normally incurred within the next financial year.

Input VAT, net of noncurrent portion, represents VAT paid to suppliers that can be claimed as credit against the Group's future output VAT liabilities without prescription.

Security deposits pertain to refundable deposits for the lease of a photocopier which is expected to be received within the next financial year.

Restricted cash and short-term investments relate to restricted cash in bank and short-term time deposits that are not available for use in operations.

13. Property and Equipment

The composition of and movements in this account are as follows:

	September 30, 2025									
	Buildings	**Building Improvements**	**Leasehold Improvements**	**Registry, Depository and Custody Equipment**	**Trading and Exchange System Equipment**	**Computer Hardware and Peripherals**	**Office Furniture, Fixtures and Communication Equipment and Others**	**Transportation Equipment**	**New Clearing & Settlement System In-Progress**	**Total**
Cost										
At beginning of year	**1,072,795,038**	**48,551,755**	**81,203,609**	**97,166,285**	**412,830,870**	**677,364,704**	**543,002,681**	**30,904,556**	**136,940,673**	**3,100,760,171**
Additions	**–**	**195,000**	**156,652**	**–**	**36,781,898**	**21,720,918**	**5,165,064**	**1,421,336**	**–**	**65,440,868**
Disposals / Adjustments	**–**	**(195,000)**	**–**	**–**	**(20,985,140)**	**(6,811,034)**	**(103,252)**	**(82,054)**	**–**	**(28,176,480)**
At end of year	**1,072,795,038**	**48,551,755**	**81,360,261**	**97,166,285**	**428,627,628**	**692,274,588**	**548,064,493**	**32,243,828**	**136,940,673**	**3,138,024,559**
Accumulated Depreciation										
At beginning of year	**300,842,929**	**12,509,094**	**80,658,864**	**97,166,285**	**348,347,060**	**579,170,808**	**459,793,546**	**16,943,291**	**31,771,969**	**1,927,203,846**
Depreciation (see Notes 25 and 26)	**32,183,735**	**2,791,845**	**110,037**	**–**	**28,274,047**	**30,952,394**	**25,405,036**	**4,532,421**	**13,299,894**	**137,549,409**
Disposals / Adjustments	**–**	**–**	**–**	**–**	**–**	**–**	**(82,730)**	**(82,053)**	**–**	**(164,783)**
At end of year	**333,026,664**	**15,300,939**	**80,768,901**	**97,166,285**	**376,621,107**	**610,123,202**	**485,115,852**	**21,393,659**	**40,071,863**	**2,064,588,472**
Net book value	**₱739,768,374**	**₱ 33,250,816**	**₱591,360**	**₱–**	**₱52,006,521**	**₱82,151,386**	**₱62,948,641**	**₱10,850,179**	**₱91,868,810**	**₱1,073,436,087**

	September 30, 2024									
	Buildings	Building Improvements	Leasehold Improvements	Registry, Depository and Custody Equipment	Trading and Exchange System Equipment	Computer Hardware and Peripherals	Office Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	New Clearing & Settlement System In-Progress	Total
Cost										
At beginning of year	1,072,795,038	46,601,755	–	–	311,357,637	642,391,750	179,188,066	32,997,780	136,940,673	2,422,272,699
Additions (Note 13)	–	1,170,000	–	–	31,114,986	25,316,513	1,177,951	–	–	58,779,450
Disposals	–	–	–	–	(102,654)	(3,072,503)	(1,420,801)	(2,455,357)	–	(7,051,315)
At end of year	1,072,795,038	47,771,755	–	–	342,369,969	664,635,760	178,945,216	30,542,423	136,940,673	2,474,000,834
Accumulated Depreciation										
At beginning of year	257,931,283	8,610,956	–	–	267,227,288	544,838,420	160,813,998	12,742,840	13,388,777	1,265,553,562
Depreciation (Notes 25 and 26)	32,183,734	2,902,068	–	–	34,530,881	27,044,940	2,718,406	5,160,014	13,949,894	118,489,937
Disposals	–	–	–	–	(102,651)	(2,647,192)	(1,419,688)	(2,031,250)	–	(6,200,781)
At end of year	290,115,017	11,513,024	–	–	301,655,518	569,236,168	162,112,716	15,871,604	27,338,671	1,377,842,718
Net Book Value	₱782,680,021	₱36,258,731	₱–	₱–	₱40,714,451	₱95,399,592	₱16,832,500	₱14,670,819	₱109,602,002	₱1,096,158,116

As at September 30, 2025 and 2024, the Group's acquisitions of property and equipment which remains unpaid and is included under "Accounts payable and other current liabilities - Trade" amounted to ₱27.53 million and ₱16.90 million, respectively.

As of September 30, 2025, the Group disposed property and equipment with carrying value of nil and related gain amounting to ₱0.41 million. As at September 30, 2024, the Group disposed property and equipment with carrying value and related gain amounting to ₱0.09 million.

As at September 30, 2025 and 2024, no property and equipment have been pledged as security or collateral for any of the Group's liabilities.

Building. This includes condominium units at the PSE Tower, Fort Bonifacio Global City (see Note 21). The condominium units were transferred to and accepted by the Exchange on September 22, 2017.

Building Improvements. These pertain to improvements of office units at PSE Tower, Fort Bonifacio Global City.

Trading System Equipment and New Clearing System. These represent software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware.

14. Investment Property

This pertains to the condominium units at Exchange Plaza, Ayala Triangle, Makati City.

On December 12, 2018, the BOD authorized the Exchange's management to lease out the Exchange Plaza and engage, negotiate and discuss with prospective lessees the terms and conditions of the lease beneficial to the exchange. Consequently, in April 2019, the Exchange entered into a non-exclusive agreement with Colliers International Philippines, Inc. for the purpose of marketing the leasing out of office units. The broker's commission depends on the term of lease and is payable upon successful execution of lease contract.

In October 2019, the Exchange started its renovation works at the Exchange Plaza and was completed in October 2021.

The movements in this account are as follows:

	2025	2024
Cost		
Balance at beginning and end of period	**₱148,411,631**	₱148,411,631
Accumulated depreciation		
Balance at beginning of year	**20,076,238**	14,106,795
Depreciation (see Notes 25 and 26)	**4,452,346**	4,430,332
Balance at end of period	**24,528,584**	18,537,127
Net book value	**₱123,883,047**	₱129,874,504

Fair Value of Investment Property. The investment property is valued at ₱1,332.24 million based on its latest appraisal report dated November 18, 2024. The property's valuation date is for the year ended December 31, 2024.

The most recent fair value of the investment property is determined by an independent appraiser who holds a recognized and relevant professional qualification. The valuation of investment properties was based on market values using the market approach. The fair value represents the price that would be received to sell the investment properties in an orderly transaction between market participants at the date of valuation. The determination of the fair value of the investment property is categorized under Level 2 fair value measurement since valuation is based on observable inputs such as the asking prices of comparable units.

15. Business Combination and Goodwill and Acquisition of Non-Controlling Interests

On various dates in December 2024, the Exchange entered into and signed Sale and Purchase Agreements (SPAs) with several PDSHC stockholders for the acquisition of additional 2.02 million common shares of PDSHC representing 32.36% interest for a total consideration of ₱ 1,213.52 million, of which ₱1,194.77 million was paid in December 2024. The remaining balance of ₱18.75 million was paid in January 2025. These acquisitions were completed and closed on December 27, 2024 (the Acquisition Date). By December 31, 2024, the Exchange owns 3.33 million common shares representing 53.34% equity interest and gains control over PDSHC. Consequently, the financial position of PDSHC is consolidated with the Group effective on December 31, 2024.

During the nine-month period ended September 30, 2025, the Exchange acquired an additional 2.42 million common shares of PDSHC, increasing its ownership stake by 38.72%. As of September 30, 2025, the Exchange holds a total of 5.75 million common shares, representing a 92.06% equity interest in PDSHC. This acquisition qualified as a business combination under PFRS 3 and led to the full consolidation of PDSHC's financial performance into the PSE Group's financial statements.

The goodwill arising on acquisition of ₱1,230.90 million comprises the value of expected synergies arising from the acquisition, which is entirely allocated to the PDSHC group. None of the goodwill recognized is expected to be deductible for income tax purposes. There are no other identified intangible assets upon acquisition.

<u>Acquisition of non-controlling interest</u>
In May 2024, the Exchange and a shareholder of Premier entered into a Deed of Donation to transfer, by way of donation, the 100,000 common shares with par value of ₱100 per share or ₱ 10.0 million owned by the shareholder of Premier to the Exchange. As a result, the Exchange acquired additional 20.0% interest in the voting shares of Premier, increasing its ownership interest to 100.0% (see Note 21).

The increase in ownership interest of the Exchange in Premier as a result of the subsequent acquisition of non-controlling interest, by way of donation, do not result in the recognition of a gain or loss but only adjustments to the carrying amount of non-controlling interest and equity reserve amounting to ₱10.93 million.

16. Investment in an Associate

Prior to December 2024, this account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC), a domestic stock corporation, whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments. Following the acquisition of the additional 32.36% stake in December 2024, the account was transferred to equity investment account.

The movements in this account as at September 30 are as follows:

	2025	2024
Acquisition cost	**₱-**	₱137,050,657
Accumulated equity in net income of an associate:		
Balance at beginning of year	**-**	741,160,842
Equity in net income	**-**	39,400,440
Balance at end of period	**-**	780,561,282
Accumulated equity in other comprehensive income - remeasurement on pension liability:		
Balance at beginning of year	**-**	4,957,116
Share in remeasurement gain on pension	**-**	-
Balance at end of period	**-**	4,957,116
Accumulated dividend income:		
Balance at beginning of year	**-**	(593,658,884)
Dividends declared during the period	**-**	(62,949,072)
Balance at end of period	**-**	(656,607,956)
	₱-	₱265,961,099

On February 24, 2022, the BOD of PDSHC declared cash dividends in the amount of ₱56 per share (₱350.00 million) in favor of all shareholders on record as of December 31, 2021 payable on or before March 31, 2022.

On February 23, 2023, the BOD of PDSHC declared cash dividends of ₱56 per share (₱350.00 million) to all shareholders of record as of December 31, 2022 to be paid on or before March 31, 2023.

On February 29, 2024, the BOD of PDSHC declared cash dividends of ₱48 per share (₱300.00 million) to all shareholders of record as of December 31, 2023 to be paid on or before March 20, 2024.

17. Other Noncurrent Assets

This account consists of:

	2025	2024
Claims under litigation	**₱51,166,892**	₱51,166,892
Software and system development costs	**28,255,620**	503,896
Security deposits (see Note 29)	**9,175,793**	1,179,906
Input VAT - noncurrent portion	**6,923,550**	1,759,976
Deposits in bank	**345,284**	345,284
Deferred lease asset	**140,830**	214,259
Other investments	**8,254,510**	6,040,774
	₱104,262,479	₱61,210,987

Claims under litigation pertain to ₱51.17 million that was garnished while still under litigation.

Noncurrent portion of input VAT pertains to deferred VAT that can be claimed as credit against future output VAT from the reporting date without prescription.

The movements in computer software account follow:

	2025	2024
Cost:		
Balance at beginning of period	**₱433,410,904**	₱69,079,080
Additions (see Notes 25 and 26)	**1,407,062**	315,000
Balance at end of period	**434,817,966**	69,394,080
Accumulated amortization:		
Balance at beginning of year	**389,411,338**	68,677,684
Amortization (see Notes 25 and 26)	**17,151,008**	212,500
Balance at end of period	**406,562,346**	68,890,184
Net book value	**₱28,255,620**	₱503,896

This account includes capitalized costs incurred for the acquisition, development and customization of the integrated systems used in the Group's operations.

Deposits in bank include amount deposited by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

Security deposits are presented at amortized cost, amortization of which is based on EIR method. The difference between the fair value at initial recognition and nominal value of security deposit on leases is charged to "Deferred lease asset" account and amortized on a straight-line basis over the lease term of six (6) years.

18. Accounts Payable and Other Current Liabilities

This account consists of:

	2025	2024
Funds held in trust	**₱294,000,000**	₱-
Trade (see Note 13)	**83,267,088**	₱84,222,595
Due to SEC	**34,523,348**	23,489,928
Accrued expenses:		
Repairs and maintenance	**41,464,979**	14,322,823
Compensation and other related staff costs	**34,599,172**	3,974,281
Professional fees	**32,665,205**	14,269,146
Penalties and taxes	**18,467,534**	4,312,059
Occupancy costs	**13,141,428**	10,828,192
Travel and transportation	**427,784**	407,062
Telecommunication	**237,081**	15,220,924
Utilities, supplies, services and various accrued expenses	**3,119,353**	3,444,987

	2025	2024
Payable to government agencies	**59,058,940**	35,044,987
Others	**69,942,184**	2,998,680
	₱ 684,914,096	₱212,535,664

Funds held in trust represents the purchase price of PDEx shares which PSE and PDSHC have agreed to sell to the Bankers Association of the Philippines (BAP) and BAP member-banks as a material inducement for the sale of BAP's PDSHC shares to PSE. The purchase price of the PDEx shares was withheld by PSE from the consideration for the PDSHC shares and will be held in trust by PSE, until fulfillment of all closing conditions for the sale and purchase of PDEx shares, including regulatory approval.

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled "Additional Fees of Exchanges", which are subsequently billed and collected from active trading participants. These are settled within the next financial year.

Trade, accrued expenses, payable to government agencies and others are noninterest-bearing, except for legal costs, and are normally settled within the next financial year.

19. Contract Liabilities, Deferred Fees and Others

Contract Liabilities

This account consists of:

	2025	2024
Listing fees	**₱1,340,065,661**	₱1,233,157,764
Data feed fees	**2,518,500**	32,297,551
	1,342,584,161	1,265,455,315
Less noncurrent portion of contract liabilities	**617,754,141**	681,481,844
Current portion of contract liabilities	**₱724,830,020**	₱583,973,471

The current portion of contract liabilities from listing fees and data feed fees are normally realized within the next financial year. The noncurrent portion of contract liabilities as at September 30, 2025 and 2024 are expected to be realized in 2026 to 2038 and in 2025 to 2037, respectively (see Note 23).

Deferred fees and others

This account consists of:

	2025	2024
Listing maintenance fees	**₱92,355,641**	₱63,304,614
Deferred output tax	**332,844**	332,844
Other fees	**6,658,114**	510,949
	₱99,346,599	₱64,148,407

Other fees pertain to receipt of payments for Bull Run and other sponsorship events that are expected to be realized within the next reporting period.

20. Loans Payable

In January 2025, the Exchange entered into a term loan facility agreement with two local banks from which initial drawdowns totaling ₱900 million were made on January 31, 2025. The loans are payable within a period of 10 years in equal annual principal repayments and carry a fixed interest rate of 6.56% per annum, payable semi-annually.

Due within one year	**₱90,000,000**
Due beyond one year	**810,000,000**
	₱900,000,000

The proceeds of the loan were used to partially finance the acquisition of PDSHC shares.

Compliance with Debt Covenants
The loan agreements provide certain restrictions and requirements principally with respect to maintenance of required financial ratios such as total debt-to-equity ratio of not more than 1-3x, debt service coverage ratio of not less than 1.2-1.5x and current ratio more than 1x. The Exchange has complied with all of its debt covenants as at September 30, 2025.

As of September 30, 2025, interest expense on loans paid amounted to ₱38.22 million.

21. Donated Capital

This account consists of:

	2025	2024
Donations from FBDC	**₱211,597,831**	₱211,597,831
Donation from a shareholder in Premier (see Note 15)	**10,000,000**	–
	₱221,597,831	₱211,597,831

22. Equity

Capital Stock
The composition of capital stock is as follows:

	2025	2024
Common and preferred stock - ₱1.00 par value		
Authorized – 106.0 million common shares and 14.0 million preferred shares		
Issued – 85,470,995shares in 2025 and 85,390,088 in 2024	**₱85,470,995**	₱85,390,088
Additional paid-in capital in excess of par	**3,977,138,846**	3,960,186,313
Subscribed capital stock (see Note 36)	**42,533,781**	29,165,700
Subscription receivable (see Note 36)	**(21,948,503)**	(8,903,597)
	4,083,195,119	4,065,838,504
Treasury stock - 3,513,952 shares in 2025 and 2024	**(696,293,587)**	(696,293,587)
	₱3,386,901,532	₱3,369,544,917

The following summarizes the information on the Parent Company's registration of securities 8515 under the SRC:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	₱31.16
January 28, 2004	–	6,077,505	119.50
September 10, 2008	–	15,177,499	–
September 12, 2008	61,000,000	–	–
June 9, 2011	–	30,504,363	–
November 14, 2013	22,200,000	12,221,680	–
March 22, 2018	–	11,500,000	252.00
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2014		50,603	
2015		50,000	
2018		23,437	
2019		13,809	
2020		(17)	
2021		72,521	
2022		63,819	
2023		67,983	
2024		178,345	
2025		70,685	
	120,000,000	85,470,995	

The Exchange has a total number of shareholders of 319 and 312 as at September 30, 2025 and 2024, respectively.

On May 4, 2019, the stockholders approved the amendment of the Exchange's Articles of Incorporation to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share.

The authorized capital stock of the Exchange will be ₱120.00 million divided into 106,000,000 common shares with par value of ₱1.00 per share or ₱106.00 million and 14,000,000 preferred shares with par value of ₱1.00 per share or ₱14.00 million. The features of the preferred shares are: (a) voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible to common shares, (e) preference over holders of common shares in the payment of dividends and distribution of corporate assets; holders of preferred shares to be paid in full the issue price (or pro rata if the assets of the corporation are insufficient) in the ease of dissolution and liquidation, (f) redeemable at the option of the BOD beginning the 5th anniversary date and (g) no pre-emptive rights. The terms of issuance of the preferred shares will be determined by the BOD.

On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation. As at September 30, 2025 and 2024, there were no issuance of preferred shares.

Retained Earnings

Date of Declaration	Dividends		Record Date	Payment Date
	Per Share	Total Amount		
April 28, 2025	₱10.00	₱822,678,680	May 14, 2025	May 27, 2025
February 21, 2024	10.00	820,848,390	March 8, 2024	April 5, 2024
March 23, 2023	10.00	820,797,130	April 5, 2023	May 5, 2023
February 16, 2022	11.00	901,624,856	March 9, 2022	April 4, 2022

Unappropriated retained earnings include the accumulated equity in net earnings of subsidiaries and associate amounting to ₱1,199.30 million and ₱225.95 million as at September 30, 2025 and 2024, respectively that is not available for distribution until such time that the Parent Company receives the dividends from the respective subsidiaries and associate. In addition, the retained earnings of the Parent Company is restricted for the payment of dividends to the extent of ₱ 696.29 million as at September 30, 2025 and 2024 representing the cost of shares held in treasury. In accordance with SEC Memorandum Circular No. 11 issued in December 2008, the Parent Company's retained earnings available for dividend declaration as of September 30, 2025 amounted to ₱1,099.60 million.

As at September 30, 2025 and 2024, the total appropriated retained earnings of the Group is ₱ 151.40 million. In 2008, the Parent Company's BOD appropriated ₱68.00 million of its retained earnings in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.00 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers. SCCP appropriated retained earnings amounting to ₱50.00 million for the settlement of trade obligations of defaulting clearing members should the clearing and trade guarantee fund not be enough (see Note 35).

On August 15, 2023 and July 16, 2024, the Board of Directors of CMIC approved the appropriation of its retained earnings amounting to ₱15.4 million and ₱15.0 million, respectively, for the infrastructure upgrade of its surveillance system. Target completion of the update of the surveillance system is before the end of 2025.

Ownership in the Parent Company

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Parent Company. As at September 30, 2025, the brokers' shareholdings with voting rights is at 17.86%.

Stock Rights Offering (SRO)

The proceeds from SRO were used for financing of expenditures related to product development and working capital requirements and general corporate purposes from 2018 to 2020. On December 16, 2020, the Parent Company's BOD authorized the extension of the timeline for the use of proceeds of the SRO until December 31, 2023.

As at September 30, 2025 and 2024, the balance of the proceeds amounted to nil and ₱1,689.20 million, respectively.

Buyback of Common Shares and Creation of Non-voting Preferred Shares

On August 28, 2019, the BOD approved the Exchange's compliance plan to align shareholder ownership with the 20% limit set by SRC. This is composed of the buyback of common shares from broker shareholders and creation of 2,500,000 preferred shares at ₱1.00 par value with features of (a) non-voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible and (e) redeemable at the option of the BOD beginning on the third anniversary date.

On October 2, 2019, the Exchange acquired 2,419,965 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱445.10 million.

On November 5, 2019, the Exchange acquired 753,983 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱138.68 million.

Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.96 million as at December 31, 2019.

On January 23, 2020, the Exchange acquired 240,000 common shares from broker shareholders at ₱181 per share with a total purchase price of ₱43.44 million.

Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.10 million as at December 31, 2020.

Capital Management

The Group's objectives when managing capital are (a) to safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group's stability and growth; and (c) to provide capital for the purpose of strengthening the Group's risk management capability.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at September 30, 2025 and 2024.

The Group considers all the components of its total equity as capital. The Group adopts a practice of providing shareholders with regular dividends.

23. Revenues

This account consists of:

	2025	2024
Listing-related fees:		
Listing	**₱216,735,125**	₱219,974,902
Listing maintenance	**294,207,413**	189,013,842
Depository securities account fees	**428,407,628**	–
Service fees (see Note 33)	**232,678,817**	204,669,400
Trading-related fees:		
Transaction (see Note 33)	**424,537,140**	95,469,089
Data feed	**169,357,860**	156,747,991
Block sales (see Note 33)	**21,302,724**	19,145,775
Subscription (see Note 33)	**74,824,741**	67,853,911
Other revenues (see Note 33)	**143,427,327**	90,471,462
	₱2,005,478,775	₱1,043,346,372

Disaggregated Revenue Information

The table below shows the disaggregation of revenues from contracts with customers of the Group by major products/service lines and a reconciliation of the disaggregated revenues with the Group's three strategic divisions for the periods ended September 30, 2025 and 2024:

	September 30, 2025			
	Listing	**Trading**	**Service**	**Total**
Major Product/Service Lines				
Listing filing fees	**₱216,735,125**	**₱–**	**₱–**	**₱216,735,125**
Listing maintenance fees	**294,207,413**	**–**	**–**	**294,207,413**
Depository securities account fees	**–**	**–**	**428,407,628**	**428,407,628**
Settlement and clearing fee	**–**	**–**	**232,678,817**	**232,678,817**
Transaction fees	**–**	**424,537,140**	**–**	**424,537,140**
Data feed fees	**–**	**169,357,860**	**–**	**169,357,860**
Block sales	**–**	**21,302,724**	**–**	**21,302,724**
Subscription fees	**–**	**74,824,741**	**–**	**74,824,741**
Others	**14,628,393**	**–**	**128,798,934**	**143,427,327**
	₱525,570,931	**₱690,022,465**	**₱789,885,379**	**₱2,005,478,775**
Timing of revenue recognition				
Transferred at a point in time	**₱–**	**₱445,839,864**	**₱789,885,379**	**₱1,235,725,243**
Transferred over time	**525,570,931**	**244,182,601**	**–**	**769,753,532**
	₱525,570,931	**₱690,022,465**	**₱789,885,379**	**₱2,005,478,775**

	September 30, 2024			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Listing filing fees	₱219,974,902	₱–	₱–	₱219,974,902
Listing maintenance fees	189,013,842	–	–	189,013,842
Settlement and clearing fee	–	–	204,669,400	204,669,400
Transaction fees	–	95,469,089	–	95,469,089
Data feed fees –	156,747,991	–	156,747,991	63,176,058
Block sales	–	19,145,775	–	19,145,775
Subscription fees	–	67,853,911	–	67,853,911
Others*	64,667,339	–	25,804,123	90,471,462
	₱473,656,083	₱339,216,766	₱230,473,523	₱1,043,346,372
Timing of revenue recognition				
Transferred at a point in time	₱–	₱114,614,864	₱230,473,523	₱345,088,387
Transferred over time	473,656,083	224,601,902	–	698,257,985
	₱473,656,083	₱339,216,766	₱230,473,523	₱1,043,346,372

***Excludes** *rental income of ₱1.78 million as it is out of scope of PFRS 15.*

The contract liabilities primarily relate to the advance consideration received from customers for which revenue is recognized at certain milestone of completion.

The significant changes in the contract liabilities balances during the periods ended September 30, 2025 and 2024 are as follows:

	2025	2024
Beginning balance	**₱1,289,502,868**	₱1,247,497,571
Increases due to cash received, excluding amounts recognized as revenue during the period	**269,816,418**	237,932,646

Revenue recognized during the period including the contract liability balance at the beginning of the period	**(216,735,125)**	(219,974,902)
Ending balance	**₱1,3342,584,161**	₱1,265,455,315

24. Other Income (Expenses)

Interest Income

This account consists of interest income from:

	2025	2024
Financial assets at FVOCI (see Note 9)	**₱52,811,085**	₱37,011,835
Cash and cash equivalents:		
Time deposits (see Note 7)	**66,109,655**	57,601,938
Cash in banks (see Note 7)	**131,982**	93,865
Short-term investments	**9,802,211**	29,232,454
Financial assets at FVTPL (see Note 8)	**10,158,669**	9,788,359
Other interest income	**337,620**	–
	₱139,351,222	₱133,728,451

Others – net

This account pertains to the foreign exchange translation gain on investment in US dollar denominated bonds and US dollar deposits amounting to ₱2.88 million and ₱6.51 million in 2025 and 2024, respectively.

25. Cost of Services

This account consists of:

	2025	2024
Compensation and other related staff costs (see Note 27)	**₱245,129,213**	₱140,517,292
Repairs and maintenance	**183,540,254**	109,377,977
Depreciation (see Notes 13 and 17)	**88,303,769**	31,258,777
Professional fees	**40,924,508**	–
Taxes and licenses	**48,921,525**	–
Occupancy costs	**14,351,521**	–
Communication	**8,784,183**	9,671,483
Others (see Note 28)	**14,016,684**	9,716,503
	₱643,971,657	₱300,542,032

26. General and Administrative Expenses

This account consists of:

	2025	2024
Professional fees	**₱117,369,236**	₱75,341,493
Depreciation and amortization (see Notes 13, 14 and 29)	**103,388,780**	108,812,007
Compensation and other related staff costs (see Note 27)	**92,031,432**	60,898,048
Occupancy costs (Note 28)	**36,546,631**	37,111,730
Taxes and licenses	**21,420,500**	5,512,169
Repairs and maintenance	**12,803,774**	8,364,716
Market development	**9,322,989**	5,351,514
Public relations	**6,372,909**	3,730,492
Office supplies	**3,641,427**	1,474,844
Insurance	**3,553,774**	3,181,530
Travel and transportation	**3,301,013**	2,461,418
Meetings and conferences	**2,191,033**	745,321
Communication	**1,749,384**	1,831,080
Others	**5,615,102**	3,107,368
	₱419,307,984	₱317,923,730

27. Compensation and Other Related Staff Costs

This account consists of:

	2025	2024
Salaries and wages	**₱292,968,119**	₱181,709,343
Pension expense (see Note 31)	**16,609,300**	4,362,303
Other employee benefits	**27,583,226**	15,343,694
	₱337,160,645	₱ 201,415,340

Other employee benefits include the ESPP expense amounting to ₱2.35 million and ₱2.15 million in 2025 and 2024, respectively (see Note 36).

28. Occupancy Costs

This account consists of:

	2025	2024
Utilities	**₱22,696,941**	₱11,061,315
Condominium rent and dues (see Note 29)	**21,433,243**	17,883,030
Security and janitorial services	**6,767,968**	8,167,385
	₱50,898,152	₱37,111,730

29. **Leases**

The Group as a Lessee

The Group has lease contracts for data recovery sites, office and parking spaces and transportation equipment used in its operations. Leases of data recovery sites have lease terms between 3 and 5 years, office and parking spaces have lease terms between 5 to 6 years and transportation equipment has a lease term of 5 years. The Group's lease contracts for data recovery sites will be auto-renewed for one year.

The rollforward analysis of the right-of-use asset as at September 30, 2025 and 2024 follows:

	Data Recovery Sites	**Office and Parking Spaces**	**Transportation Equipment**	**Total**
At January 1, 2025	**₱43,232,259**	**₱53,307,731**	**₱4,390,137**	**₱100,930,127**
Additions	**–**	**14,279,478**	**–**	**14,279,478**
Depreciation	**(15,848,958)**	**(15,834,888)**	**(938,035)**	**(32,621,881)**
At September 30, 2025	**₱27,383,301**	**₱51,752,321**	**₱3,452,102**	**₱82,587,724**

	Data Recovery Sites	Office and Parking Spaces	Transportation Equipment	Total
At January 1, 2024	₱64,364,203	₱4,197,214	₱–	₱68,561,417
Depreciation	(15,848,958)	(1,717,042)	–	(17,566,000)
At September 30, 2024	₱48,515,245	₱2,480,172	₱–	₱50,995,417

The following are the amounts recognized in the consolidated statements of comprehensive income for the periods ended September 30:

	2025	2024
Depreciation expense of right-of-use assets (see Note 26)	**₱32,621,881**	₱17,566,000
Interest expense on lease liabilities	**5,601,343**	4,649,083
	₱38,223,224	₱22,215,083

30. **Income Tax**

The provision for (benefit from) income tax consists of:

	2025	2024
Current – RCIT	**₱271,056,068**	₱101,796,829
Deferred	**13,845,625**	9,007,164
	₱284,901,693	₱110,803,993

Optional Standard Deduction (OSD)
Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions.

SCCP elected the OSD method in 2025 and 2024 in computing its taxable income.

The availment of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which SCCP expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.

SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to ₱3.36 million and ₱3.07 million in 2025 and 2024, respectively.

Premier's deferred tax asset, which were not recognized due to taxable loss amounted to ₱5.87 million as of last reporting period.

Corporate Recovery and Tax Incentives for Enterprises Law
President Rodrigo Duterte signed into law on March 26, 2021 the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act to attract more investments and maintain fiscal prudence and stability in the Philippines. Republic Act (RA) 11534 or the CREATE Act introduces reforms to the corporate income tax and incentives systems. It takes effect 15 days after its complete publication in the Official Gazette or in a newspaper of general circulation or April 11, 2021.

The following are the key changes to the Philippine tax law pursuant to the CREATE Act which have an impact on the Company:

- Effective July 1, 2020, regular corporate income tax (RCIT) rate is reduced from 30% to 25% for domestic and resident foreign corporations. For domestic corporations with net taxable income not exceeding ₱5.00 million and with total assets not exceeding ₱100.00 million (excluding land on which the business entity's office, plant and equipment are situated) during the taxable year, the RCIT rate is reduced to 20%.
- The transition of minimum corporate income tax (MCIT) to a lower rate has expired and returned to the normal rate of 2%, effective July 1, 2023.
- Imposition of improperly accumulated earnings tax (IAET) is repealed.

31. **Retirement Plan and Other Employee Benefits**

Retirement Plan
The Parent Company and PDSHC have a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans.

The benefits are accumulated based on years of service and compensation per year of credited service.

The principal actuarial assumptions used in determining retirement liabilities are shown below:

	Parent Company		SCCP		CMIC		PDSHC	
	2024	2023	**2024**	2023	**2024**	2023	**2024**	2023
Discount rate	**6.11%**	6.38%	**6.11%**	6.11%	**5.91%**	6.61%	6.11% to 6.13%	–
Future salary increases	**5.00%**	5.00%	**5.00%**	5.00%	**5.00%**	5.00%	6%	–

The latest actuarial valuation studies of the retirement plan of the Parent Company, SCCP and CMIC were made as at December 31, 2024.

The pension expense included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statements of comprehensive income are as follows:

	2024	2023
Current service cost - net	**₱12,911,973**	₱10,548,545
Net interest expense (income)	**(2,330,332)**	(3,234,513)
	₱10,581,651	₱7,314,032

The component of remeasurements of the Parent Company, SCCP and CMIC in the statements of comprehensive income is as follows:

	2024	2023
Remeasurement loss (gain) on pension asset/liability*	**₱6,355,395**	₱20,166,322
Tax effect (see Note 30)	**(1,588,849)**	(5,008,707)
	₱4,766,546	₱15,157,615

**Includes remeasurement gains on changes in the effect of asset ceiling from Parent amounting to ₱10.79 million, ₱14.81 million and ₱1.74 million as at December 31, 2022, 2021 and 2020, respectively.*

The Parent Company's share in remeasurement gain on pension benefits of the associate is ₱0.07 million, ₱0.07 million and ₱2.28 million in 2024, 2023 and 2022, respectively.

The pension (asset) liability included in the consolidated statements of financial position as at December 31, 2024 and 2023 are as follows:

	2024				2023			
	Parent Company	**SCCP**	**CMIC**	**PDSHC**	Parent Company	SCCP	CMIC	PDSHC
	Pension Asset	**Pension Liability**	**Pension Liability**	**Pension Liability**	Pension Asset	Pension Liability	Pension Liability	Pension Liability
Present value of benefit obligation	**₱157,253,332**	**₱22,113,163**	**₱4,491,215**	**₱119,891,167**	₱140,528,260	₱20,380,016	₱3,183,597	₱–
Fair value of plan assets	**(227,007,384)**	**–**	**–**	**(95,986,588)**	(203,466,320)	–	–	–
Effect of asset ceiling	**12,065,530**	**–**	**–**	**–**	10,794,280	–	–	–
	(₱57,688,522)	**₱22,113,163**	**₱4,491,215**	**₱23,904,579**	(₱52,143,780)	₱20,380,016	₱3,183,597	₱–

Changes in the present value of the consolidated defined benefit obligation are as follows:

	2024				2023			
	Parent Company	**SCCP**	**CMIC**	**PDSHC**	Parent Company	SCCP	CMIC	PDSHC
	Pension Asset	**Pension Liability**	**Pension Liability**	**Pension Liability**	Pension Asset	Pension Liability	Pension Liability	Pension Liability

Balance at beginning of year	₱140,528,260	₱20,380,016	₱3,183,597	₱–	₱109,803,539	₱16,231,304	₱2,085,709	₱–
Acquired through business combination (see Note 15)	–	–	–	119,891,167	–	–	–	–
Current service cost	11,363,337	1,131,035	417,601	–	9,330,072	935,745	282,728	–
Interest cost on benefit obligation	8,965,703	1,245,219	210,436	–	8,410,951	1,184,885	157,680	–
Actual benefits paid	(4,901,193)	(269,325)	–	–	(5,862,567)	–	–	–
Actuarial losses (gains) arising from:								
Changes in financial assumptions	4,297,191	–	347,886	–	17,593,592	2,496,785	343,457	–
Experience adjustments	(2,999,966)	(373,782)	220,775	–	1,252,673	(468,703)	102,101	–
Changes in demographic assumptions	–	–	110,920	–	–	–	211,922	–
Balance at end of year	₱157,253,332	₱22,113,163	₱4,491,215	₱119,891,167	₱140,528,260	₱20,380,016	₱3,183,597	₱–

The movements in the fair value of plan assets recognized by the Parent Company and PDSHC are as follows:

	2024		2023	
	Parent Company	**PDSHC**	Parent Company	PDSHC
Balance at beginning of year	**₱203,466,320**	**₱–**	₱177,922,163	₱–
Acquired through business combination (see Note 15)	**–**	**95,986,588**	–	–
Interest income	**13,440,355**	**–**	14,248,222	–
Actual benefits paid	**(4,901,193)**	**–**	(5,862,567)	–
Remeasurement loss	**(4,294,389)**	**–**	(4,875,981)	–
Contributions	**19,296,291**	**–**	22,034,483	–
Balance at end of year	**₱227,007,384**	**₱95,986,588**	₱203,466,320	₱–

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan.

The following table presents the carrying amounts and estimated fair values of the assets of the Parent Company's retirement plan as at December 31, 2024 and 2023:

	2024				2023	
	Parent Company		**PDSHC**		Parent Company	
	Carrying Amount	**Fair Value**	**Carrying Amount**	**Fair Value**	Carrying Amount	Fair Value
Cash and cash equivalent	**₱26,546,335**	**₱26,546,335**	**₱8,843,062**	**₱8,843,062**	₱22,666,260	₱22,666,260
Investment in government securities, bonds and other debt instruments	**159,494,376**	**159,494,376**	**77,292,157**	**77,292,157**	144,982,311	144,849,997
Investment in equity securities	**38,985,690**	**38,985,690**	**8,176,884**	**8,176,884**	34,399,002	34,399,002
Others	**1,980,983**	**1,980,983**	**1,675,577**	**1,675,577**	1,418,747	1,418,747
Trust fees payable	**–**	**–**	**(1,092)**	**(1,092)**	–	–
	₱227,007,384	**₱227,007,384**	**₱95,986,588**	**₱95,986,588**	₱203,466,320	₱203,334,006

The Parent Company's retirement plan assets and investments consist of the following:

- Cash and cash equivalents include regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.
- Investments in government securities, consisting of retail treasury bonds and fixed rate treasury notes that bear interest ranging from 3.375% to 8.62% in 2024 with maturities from April 2025 to January 2034. In 2023, government securities were composed of fixed-income treasury notes that bear interest ranging from 3.375% to 8.62% that mature in March 2024 to August 2028.

- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 6.02% to 7.53% in 2024 that will mature in 2028 to 2029 and 5.35% to 7.53% in 2023 that will mature in 2024 to 2029.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

As at December 31, 2024 and 2023, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	**Increase (Decrease) in Defined Benefits Obligation**	
		2024	2023
Discount rate	100	**(₱126,477,499)**	(₱16,509,043)
	(100)	**143,641,293**	19,192,626
Future salary increases	100	**144,115,714**	19,261,100
	(100)	**(126,332,164)**	(16,854,785)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as these fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A large portion of the plan assets consists of equity and debt securities although the trustee also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

On the other hand, SCCP's retirement plan is non-contributory and of the final salary defined benefit type. The plan provides a retirement benefit equal to one hundred fifty percent (150%) of the plan salary for every year of credited service. Benefits are paid in lump sum directly by SCCP upon retirement or separation in accordance with the terms of the plan.

Moreover, CMIC does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days pay for every year of credited service. The regulatory benefit is paid directly by the Company in a lump sum upon retirement.

In addition, the PDSHC retirement plan is in the form of a trust administered by a trustee bank. The Group does not have transactions with its retirement plan other than the normal contributions and benefits payment coming from the retirement plan.

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2024 and 2023:

	2024	2023
More than one year to five years	**₱122,122,223**	₱44,182,749
More than five years to 10 years	**247,006,638**	127,342,287
	₱369,128,861	₱171,525,036

The weighted average duration of the defined benefit obligations as at December 31, 2024 are 10.4 years, 10.4 years, 11.7 years and 7.61 years for the Parent Company, SCCP, CMIC and PDSHC respectively.

The weighted average duration of the defined benefit obligations as at December 31, 2023 are 10.8 years, 11.3 years and 12.3 years for the Parent Company, SCCP and CMIC, respectively.

Other Employee Benefits
Other employee benefits amounted to ₱3.77 million and ₱1.89 million as at December 31, 2024 and 2023, respectively. These pertain to accumulated sick leave entitlement which are expected to be settled beyond one year after the end of the reporting date.

32. Basic/Diluted Earnings Per Share (EPS)

Basic EPS are calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the net income attributable to ordinary equity holders of the Parent Company by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares (ESPP shares) into ordinary shares.

For the nine-month period ended September 30, 2025 and 2024:

	2025	2024
(a) Net income attributable to equity holders of the Parent Company	**₱683,134,056**	₱640,759,409
(b) Weighted average number of shares – basic	**81,951,447**	81,849,113
Weighted average number of shares outstanding under the ESPP (see Note 36)	-	
(c) Adjusted weighted average shares - diluted	**81,951,447**	81,849,113
EPS:		
Basic (a/b)	**₱8.34**	₱7.83

Diluted (a/c)	**8.34**	7.83

For the last 12 Months:

	2025	2024
(d) Net income attributable to equity holders of the Parent Company	**₱1,249,592,141**	₱837,827,189
(e) Weighted average number of shares – basic	**81,951,447**	81,849,113
Weighted average number of shares outstanding under the ESPP (see Note 36)	-	
(f) Adjusted weighted average shares - diluted	**81,951,447**	81,849,113
EPS:		
Basic (a/b)	**₱15.25**	₱10.24
Diluted (a/c)	**15.25**	10.24

33. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities. Related parties include trading participants that are stockholders of the Group.

The Group, in its normal course of business, has transactions with related parties. Settlement of related party transactions normally occurs in cash.

The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
<u>Stockholders</u>					
Trading participants -					
Revenues					
Trading-related fees (see Notes 11 and 23):					
Transaction	**2025**	**₱424,537,140**	**₱14,022,017**	Collectible monthly through cash, noninterest-bearing	Unsecured; with impairment
	2024	₱95,469,089	₱13,804,201		
Block sales	**2025**	**21,302,724**	**4,009,961**	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2024	19,145,775	1,913,913		
Subscription	**2025**	**74,824,741**	**–**	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2024	67,853,911	–		
Depository securities account fees	**2025**	**428,407,628**	**160,550,672**	Collectible monthly through cash,	Unsecured; no impairment

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
				noninterest-bearing	
Service fees (see Notes 11 and 23)	**2025**	**232,678,817**	**31,622,679**	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2024	204,669,400	30,878,269		
Other revenues (see Notes 11 and 23)	**2025**	**9,199,932**	**–**	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2024	15,322,407	–		
Subsidiary of Associate					
Philippine Dealing and Exchange Corp (PDEx)					
Other revenues (Notes 11 and 23)	**2025**	**1,247,400**	**155,232**	Collectible monthly through cash, noninterest-bearing	Unsecured; no impairment
	2024	1,247,400	–		
Philippine Depository & Trust Corporation (PDTC)					
Other revenues (Notes 11 and 23)	**2025**	**2,316,600**	**288,288**		
	2024	2,316,640	90,092		

The receivable from trading participants included in the consolidated statements of financial position are gross of allowance for impairment losses as at September 30, 2025 and 2024.

Other revenues include trading participants' maintenance fee, recoveries from printing of data transaction report, lease of trading floor, cancellation of matched orders, and integration of PDEx's fixed income module in the trading system, and other fees.

The Exchange as Trustee of the Philippine Stock Exchange Foundation, Inc. (the Foundation)
On December 10, 2019, the Board of Trustees (BOT) of the Foundation approved the dissolution of the Foundation by shortening its corporate term until January 31, 2020. The BOT also approved that, upon expiration of the Foundation's corporate term, all of the Foundation's assets and properties shall be transferred and conveyed to the Exchange which is hereby appointed as trustee of the Foundation for a period of three years (the 3-year winding up period). During the 3-year winding up period, the Exchange, through its BOD or its duly authorized representative, is authorized to: (1) file, process, and obtain the necessary government or regulatory approvals for the closure and dissolution of the Foundation; (2) prosecute and defend suits by or against the Foundation; (3) manage the remaining assets of the Foundation as the Exchange may deem fit, pending turnover to a foundation of the Exchange's choice dedicated to religious, charitable, scientific, athletic, cultural, or educational purposes; (4) dispose of, convey, or transfer assets of the Foundation exclusively for purposes of paying the Foundation's outstanding liabilities and turning over to a qualified foundation as aforementioned; (5) close the affairs of the Foundation ; and (6) perform all acts and execute all

documents, agreements, papers and forms, without need of further approval or action from the Company, as may be necessary to implement the foregoing.

Compensation of Key Management Personnel
Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under "Cost of services" and "General and administrative expenses" in the consolidated statements of comprehensive income is as follows:

	2025	2024
Short-term employee benefits	**₱109,897,394**	₱76,112,328
Post-employment pension and medical benefits	**2,652,904**	474,980
Employee stock purchase plan	**2,603,040**	–
	₱115,153,338	₱76,587,308

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

Approval Thresholds on Related Party Transactions
All potential related party transactions shall be endorsed to the management committee by the user division for proper review, documentation and approval by the relevant authorities except for transactions in the ordinary course of business, employee-related matters, share transactions, funding agreement with CMIC and renewal of an existing contract or agreement with the same terms and conditions. A related party transaction is deemed material if it, individually, or in aggregate over a twelve (12)-month period with the same related party reaches 10% or higher of the total consolidated assets based on the latest audited consolidated financial assets.

34. **Operating Segment**

In 2023, the Group has one reportable business segment which is the equity, clearing and settlement business. In 2024, the group has two reportable business segments which are the equity, clearing and settlement business and the depository and fixed income business, upon acquisition of additional interest in PDSHC (see Note 15). The equity, clearing and settlement business provides trading, clearing, depository and information services for the equity market. The depository and fixed income business provides platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management, the chief operating decision maker of the Group, monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

The amount of segment assets and liabilities and segment profit or loss are based on measurement principles that are similar to those used in measuring the assets and liabilities and profit or loss in the consolidated financial statements, which is in accordance with PFRS.

Inter-segment Transactions

Transfer prices between business segments are set on an arm's length basis similar to transactions with nonrelated parties. Such transfers are eliminated in the consolidated financial statements.

Business Segment Data

	2025			
	Equity, Clearing and Settlement Business	**Depository and Fixed Income Business**	**Eliminations**	**Consolidated Balances**
Revenue:				
External customers	**₱1,131,748,285**	**₱873,730,490**	**₱–**	**₱2,005,478,775**
Inter-segment	**–**	**–**	**–**	**–**
	₱1,131,748,285	**₱873,730,490**	**₱–**	**₱2,005,478,775**
Segment results:				
Income before income tax	**₱495,332,680**	**₱528,383,193**	**₱–**	**₱1,023,715,873**
Provision for income tax	**(155,736,845)**	**(129,164,848)**	**–**	**(284,901,693)**
Net income	**₱339,595,835**	**₱399,218,345**	**₱–**	**₱738,814,180**
Equity holders of the Parent	**₱4,544,518,338**	**₱1,818,437,479**	**(₱1,425,529,813)**	**₱4,937,426,001**
Non-controlling interests	**–**	**27,108,080**	**143,098,802**	**170,206,882**
Segment assets	**₱6,253,691,864**	**₱2,228,125,635**	**₱–**	**₱8,481,817,499**
Segment liabilities	**₱2,987,520,019**	**₱386,664,597**	**₱–**	**₱3,374,184,616**
Other information:				
Capital expenditures	**₱1,025,378,078**	**₱48,058,009**	**₱–**	**₱1,073,436,087**
Depreciation and amortization	**135,711,607**	**55,980,942**	**–**	**191,692,549**

For the year ended September 30, 2025, there were no revenue transactions with a single external customer which accounted for 10% or more of the consolidated revenue from external customers. The main revenues of the Group are substantially earned from the Philippines.

The Company disaggregates its revenue information in the same manner as it reports its segment information.

35. Provision and Contingencies

Parent Company

Provision. In 2018, the Parent Company recorded a provision amounting to ₱20.00 million which pertains to termination benefits payable to employees identified under its organizational streamlining program, the timing of settlement is not yet certain as at December 31, 2018. In 2019, the Parent Company reclassified the provision to accrued expenses as a result of the finalization of streamlining program. In 2020, the Parent Company settled the termination benefits payable to the employees identified amounting to ₱18.14 million.

The SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at September 30, 2025 & 2024. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2025	2024
Value of shares not yet delivered (net selling)	**₱6,191,297,187**	₱7,278,093,391
Amount of purchases unpaid (due clearing)	**2,348,926,128**	2,203,215,342
	₱8,540,223,315	₱9,481,308,733

	2025	2024
Value of shares not yet delivered (net selling)	**$ –**	$ 5,127
Amount of purchases unpaid (due clearing)	**–**	5,127
	$ –	$ 10,254

All transactions outstanding as at September 30, 2025 and 2024 were subsequently settled in October 2025 and 2024, respectively. Accordingly, no failed trades occurred from these transactions.

The Markets and Securities Regulation Department (MSRD) of the Securities and Exchange Commission (SEC), in its resolutions dated April 29, 2022 (MSRD-MID Case Nos. 1-2022 and 2-2022) and September 7, 2022 (MSRD-MID Case Nos. 18-2022 to 76-2022), cited CMIC for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 Securities Regulation Code (SRC) and penalized CMIC in the total amount of P2.735 million. CMIC filed an appeal with the SEC En Banc on June 9, 2022 and September 21, 2022, respectively.

Further, the MSRD of the SEC, in its decision dated November 16, 2022 (MSRD-MID Case Nos. 121-2022 to 166-2022), cited CMIC anew for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 SRC and penalized CMIC in the amount of P2.30 million. On March 21, 2023, CMIC filed an appeal with the SEC En Banc.

Finally, the MSRD of the SEC, in its decision dated April 11, 2023 (MSRD-MID Case Nos. 174-2022 to 183-2022) cited CMIC anew for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 Securities Regulation Code (SRC) and penalized CMIC in the amount of P0.50 million. On April 26, 2023, CMIC filed an appeal with the SEC En Banc.

As of November 12, 2025, the SEC En Banc has not rendered a decision on the appeals of CMIC dated June 9, 2022 (MSRD-MID Case Nos. 1-2022 and 2-2022), September 21, 2022 (MSRD-MID Case Nos. 18-2022 to 76-2022), and April 26, 2023 (MSRD-MID Case Nos. 174-2022 to 183-2022).

36. Employee Stock Purchase Plans

2015 ESPP

On March 25, 2015 and May 2, 2015, the Parent Company's BOD and at least two thirds of the stockholders of the Parent Company approved to offer 150,000 ESPP shares for 3 years.

On December 23, 2015, the Parent Company submitted a request from SEC to be exempted from the registration requirements of the SRC. The Parent Company received the reply from the SEC stating that the Commission, in its meeting on January 21, 2016, ruled that the proposed ESPP is exempt from registration requirements of the SRC on January 26, 2016. Also, such approval commences the effectivity date of ESPP.

On February 16, 2016, the initial offering of ESPP was announced with the following terms and conditions:

a. the number of shares allotted for the offering is 150,000 shares or about 0.20% of the outstanding capital stock of the Parent Company. Each offering shall consist of 50,000 shares;

b. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Corporate Governance & Compliance Officer, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;

c. all regular employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;

d. offer date shall be quarterly for a period commencing on the quarter immediately after the SEC approval is obtained until the 4th quarter of 2017. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;

e. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the Parent Company shares for the month preceding the offer date less a discount of ten percent (10%). Payment terms will be through monthly salary deduction over a period of twenty four (24) months subject to salary deduction over a period of twenty four (24) months subject to payroll guidelines on net take home pay;

f. a mandatory holding period of two (2) years from the date of subscription shall be implemented;

g. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; and

h. in case an employee dies pending completion of the full payment over the 24-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

<u>2018 ESPP</u>
On April 11, 2018, the Parent Company's BOD approved to offer 300,000 ESPP shares for 3 years.

On November 16, 2018, the SEC approved Parent Company's request to be exempted from the registration requirements of the SRC. Also, such approval commences the effectivity date of ESPP.

On December 27, 2018, the initial offering of ESPP was announced with the following terms and conditions:

a. the number of shares allotted for the offering is 300,000 shares or about 0.35% of the outstanding capital stock of the Parent Company. Each offering shall consist of 100,000 shares;

b. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;

c. all Officers and employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;

d. offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2021. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;

e. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty six (36) months subject to payroll guidelines on net take home pay;

f. a mandatory holding period of three (3) years from the date of subscription shall be implemented;

g. one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;

h. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon; and

i. in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

<u>2021 ESPP</u>
On October 1, 2020, the Board of Directors of the Exchange approved the renewal of the ESPP which will have a duration of three (3) years from 2021 to 2023.

On November 2, 2020, the Stockholders, by a vote of the majority of the outstanding capital stock registered, approved the renewal of the ESPP and the amendment of the holding period to two (2) years from the date of purchase.

The proposed ESPP has the following terms and conditions:

a. the plan shall be effective from the adoption date until December 31, 2023;

b. the number of shares allotted for the offering is 300,000 shares or about 0.37% of the outstanding capital stock of the Parent Company as of December 31, 2020. Each offering shall consist of 100,000 shares;

c. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;

d. all Officers and employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;

e. offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2023. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;

f. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty-six (36) months subject to payroll guidelines on net take home pay; provided that, a participant shall have an option to fully pay the Subscription Price on the 24^{th} month from signing of the stock purchase agreement;

g. a mandatory holding period of two (2) years from the date of subscription shall be implemented; subject to full payment of the Subscription Price of the ESPP shares at the end of the Mandatory Holding Period. If a Participant does not fully pay the balance of the Subscription Price at the end of the 2-year period from signing of the stock purchase agreement, the Mandatory Holding Period shall be extended until full payment of the Subscription Price of the ESPP shares but not later than three (3) years from execution of the stock purchase agreement;

h. a mandatory holding period of two (2) years from the date of subscription shall be implemented;

i. one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;

j. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon. However, if the Participant described in the foregoing has completed at least 12 months of installment payments, is resigning or is separated after six (6) months of the current vesting period and is in good standing, the said Participant has the option to buy the remaining shares of the current vesting period provided he pays in full within thirty (30) days from date of separation. However, the Mandatory Holding Period remains applicable; and

k. in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

The movement in the number of ESPP shares is as follows:

	2024 ESPP	2021 ESPP	2018 ESPP
Total number of ESPP shares granted:			
2016	–	–	–
2017	–	–	–
2018	–	–	100,000
2019	–	–	100,000
2020	–	–	100,000
2021	–	100,000	–
2022	–	100,000	–
2023	–	100,000	–
2024	100,000	–	–
2025	100,000		
Availed shares in:			
2016	–	–	–
2017	–	–	–
2018	–	–	(82,123)
2019	–	–	(64,326)
2020	–	–	(144,427)
2021	–	(100,000)	(9,124)
2022	–	(80,846)	–
2023	–	(119,154)	–
2024	(100,000)	–	–
2025	(100,000)		
Forfeited shares in 2017	–	–	–
Expired shares in 2017	–	–	–
Outstanding ESPP shares as at September 30, 2025	–	–	–

Employee benefit expense arising from ESPP amounted to ₱2.35 million and ₱1.45 million in 2025 and 2024, respectively.

In 2019, 13,809 shares from the 2015 ESPP with a subscription price amounting ₱2.97 million have vested following the completion of the two (2) year mandatory period. The said shares were issued to the employees and were recorded in the “Capital stock” and “Additional paid-in capital” accounts in the 2019 statement of changes in equity (see Note 22).

The exercise prices of the shares granted during 2019 amounted ₱139.55. The fair value of shares granted during 2019 based on the Exchange’s daily stock quotation amounted to ₱139.90.

The exercise prices of the shares granted during 2020 range from ₱128.08 to 132.20. The fair value of shares granted based on the Exchange’s daily stock quotation amounted to ₱154.20 to ₱158.10.

In 2024, 168,123 shares from the two (2) tranches offering for 2024 ESPP with a subscription price amounting 20.78 million have vested following the completion of the three (3) year mandatory period. In addition, 10,222 shares were vested from resigned employees in 2024. The said shares were issued to the employees recorded in the “Capital stock” and “Additional paid-in capital” accounts in the 2024 statement of changes in equity (see Note 22).

In 2023, 63,484 shares from the two (2) tranches offering for 2020 ESPP with a subscription price amounting 8.39 million have vested following the completion of the three (3) year mandatory period. In addition, 4,499 shares were vested from resigned employees in 2023. The said shares were issued to the employees and were recorded in the "Capital stock" and "Additional paid-in capital" accounts in the 2023 statement of changes in equity (see Note 22).

In 2022, 63,819 shares from the 2018 ESPP with a subscription price amounting 8.93 million have vested following the completion of the three (3) year mandatory period. The said shares were issued to the employees and were recorded in the "Capital stock" and "Additional paid-in capital" accounts in the 2021 statement of changes in equity (see Note 22).

The exercise prices of the shares granted during 2021 amounted to ₱119.82. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱150.50.

The exercise prices of the shares granted during 2022 amounted to ₱170.77. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱215.00.

The exercise prices of the shares granted during 2023 range from ₱133.74 to ₱137.08. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱166 to ₱ 186.

The exercise prices of the shares granted during 2024 amounted to ₱139.15. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱183.00.

The exercise prices of the shares granted during 2025 amounted to ₱138.50. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱181.00.

37. Client Monies

Clearing and Trade Guaranty Fund (CTGF)

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the members' trade value, net of block sales and cross transactions of the same flag.

The CTGF was presented off balance sheet and is not included within the noncurrent assets and noncurrent liabilities in the consolidated statement of financial position since these are not assets and liabilities of SCCP. This presentation is to better reflect the clearing members' contribution as trust monies and does not result in a change in net assets of SCCP.

The CTGF consists of:

	As of September 30	
	2025	2024
Principal contributions from:		
Trading participants:		
Balance at beginning of year	**₱903,459,128**	₱937,479,397
Contributions, net of refund	**38,734,120**	(44,413,619)
Balance at end of year	**942,193,248**	893,065,778
The Parent Company	**80,000,000**	80,000,000
	1,022,193,248	973,065,778
Accumulated income:		
Balance at beginning of year	**656,236,767**	584,574,721

	As of September 30	
	2025	2024
Interest income - net of management fee	**56,344,738**	54,790,532
Balance at end of year	**712,581,505**	639,365,253
Net unrealized gain on AFS investments	**3,471,369**	3,039,506
	716,052,874	642,404,759
	₱1,738,246,122	₱1,615,470,537

In addition, the SCCP Board has approved the contribution by SCCP to the CTGF in the amount of ₱50 million by way of appropriation of its Retained Earnings which may only be used to cover for settlement defaults of its Clearing Members.

Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, SCCP continuously builds up the CTGF through the monthly contributions collected from the clearing members and collection of initial contributions from new and returning clearing members.

On May 10, 2018, SCCP Management was notified by the SEC that during its meeting held on March 13, 2018, the Commission En Banc resolved to approve SCCP's proposed amendments to SCCP Rule 5.2 and Operating Procedure 4.3.1.3, making contributions to the Clearing Fund refundable as trade-related assets to a Clearing Member upon cessation of business of the Clearing Member and/or upon termination of its membership with the SCCP, subject to certain conditions. SCCP Management notified its Clearing Members of the said approval by the Commission through Memo for Brokers No. 01-0718 dated July 25, 2018. The said revisions to SCCP Rule 5.2 and Operating Procedure 4.3.1.3 became effective on August 1, 2018.

In August 2024, two (2) Clearing Members were refunded their CTGF contributions after they had secured all the applicable regulatory clearances and approvals required on the refund of their contributions amounting to a total of P78,203,091.23. In addition, they submitted a copy of their audited financial statements showing that they had shouldered their CTGF contributions rather than collecting the contributions from their clients.

On March 18, 2025, the Commission En Banc approved SCCP's proposed amendments to SCCP Rule 5.2 and Operating Procedure 4.2.1.3 related to the refund of contributions to the CTGF upon cessation of business of the Clearing Member.

Under the SCCP's rules, the CTGF may only be invested in the following:

a. Securities issued or guaranteed by the Republic of the Philippines; and

b. Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

The assets of the CTGF consist of:

	As of September 30	
	2025	2024
Financial assets at amortized cost:		
Cash in banks	**₱30,243,350**	₱26,479,208
Accounts receivable	**4,456,432**	4,679,694
Accrued interest receivable	**5,296,557**	9,189,214
Placement in time deposit	**309,560,068**	300,718,792
Financial assets at FVOCI - debt securities:		
Principal amount	**1,391,072,600**	1,283,572,600
Net unamortized premium	**(5,854,255)**	(12,208,477)
Net unrealized gain (loss) on financial assets at FVOCI	**3,471,369**	3,039,506
	₱1,738,246,122	₱1,615,470,537

Net unrealized loss from CTGF investments held as financial assets at FVOCI follows:

	As of September 30	
	2025	2024
Balance at beginning of year	**(₱12,067,601)**	(₱12,530,218)
Change in fair value	**15,538,970**	15,569,724
Balance at end of year	**₱3,471,369**	₱3,039,506

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year.

Any proceeds from the CTGF shall not be used for any purpose other than for:

a. Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
b. Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
c. The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
d. For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
e. For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
f. Payment of premium on any insurance policy taken for the CTGF.

Funds of Suspended Trading Participants (TPs)

The funds of the suspended TPs are trust monies. These are presented off balance sheet and are not included within the noncurrent assets and noncurrent liabilities in the statements of financial position since these are not assets or liabilities of the Company.

Suspension of trading operations may either be voluntary or involuntary. In voluntary suspension, the TP applies for the suspension of trading operations. In involuntary suspension, the Exchange or the SEC initiates and orders the suspension of the trading operations of the TP in accordance with the securities laws.

Under Section 33 of the Securities Regulation Code, when the Exchange shall have found that the financial condition of its member firm has so deteriorated that it cannot readily meet the demands of its customers for the delivery of securities and/ or payment of sales proceeds, the Exchange shall, upon order of the Commission, take over the operation of the insolvent member firm and immediately proceed to settle the member firm's liabilities to its customers.

In August 1997, November 2003, and September 2008, the Exchange, through its Market Regulation Division, imposed an involuntary suspension of the operations of Marino Olondriz Y Cia, Asian Capital Equities, Inc., and HK Securities, Inc., respectively. Subsequently, the SEC issued takeover orders against the above TPs. Further, in December 2002 and October 2003, Pryce Securities, Inc. and Wise Securities, Inc. correspondingly suspended their operations voluntarily.

In May 2010, the BOD of the Exchange approved the creation of CMIC, a wholly-owned subsidiary that will function as the independent audit, surveillance and compliance unit of the Exchange with authority to adopt, enforce, implement and interpret rules, guidelines, and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange. Thus, CMIC succeeded the Market Regulation Division of the Exchange after the BOD of the Exchange approved the spinoff of the said division into a separate independent corporation.

Following the grant of the SEC of its self-regulatory organization status, the Exchange, in August 2014, turned over to CMIC the fund balances of the five (5) suspended TPs totaling ₱3.38 million, broken down as follows:

	Amount
Pryce Securities, Inc.	₱8,365,421
HK Securities, Inc.	5,582,686
Wise Securities Philippines, Inc.	4,471,976
Asian Capital Equities, Inc.	2,594,393
Marino Olondriz Y Cia	2,367,458
	₱23,381,934

In 2015, the Securities and Exchange Commission, issued an order directing the Company to take over the operations of I. Ackerman & Co., Inc. (IACI). In October 2021, the Company opened a bank account in its name and transferred ₱2.29 million from the funds of IACI to facilitate the processing of customer claims.

The responsibilities of CMIC with regard to the funds of the suspended TPs include handling the customer accounts, disbursing and settling of any customer claims, and managing the money balances.

As at September 30, 2025 and 2024, the balance of the funds held in trust for suspended trading participants amounted to ₱57.05 million and ₱49.69 million, respectively.

	2025	2024
Pryce Securities, Inc.	**₱12,258,753**	₱11,461,531
I. Ackerman & Co., Inc.	**13,198,097**	8,999,395
Asian Capital Equities, Inc.	**10,179,841**	9,109,563
HK Securities, Inc.	**8,503,916**	8,049,783

Marino Olondriz Y Cia	**7,340,630**	6,708,523
Wise Securities Philippines, Inc.	**5,566,918**	5,356,264
	₱57,048,155	₱49,685,059

In November 2019, the SEC issued an order directing CMIC to take over the operations of R & L Investments, Inc. (R&L). The SEC approved the allocation plan for the settlement of claimants or client accounts of R&L in December 2022. Disbursements for client's claims shall be made directly from the accounts of R&L.

In November 2024, the SEC En Banc directed CMIC to take over the operations of Equitiworld Securities, Inc. (ESI) for the purpose of settling the firm's liabilities to its customers, the Philippine Stock Exchange, and other trading participants. In May 2025, CMIC submitted to the SEC a proposed allocation plan. The Commission, in June 2025, approved the release of intact shares to Equitiworld clients ahead of the full approval of the allocation plan. In August 2025, pursuant to the takeover order, CMIC opened a bank account in its name in order to deposit a check received from the Philippine Depository & Trust Corporation representing accumulated cash dividends of Equitiworld's various clients in the amount of ₱8,752,006.

Explanation for each information where disclosure of such is not applicable in our interim financial statements

PART I – FINANCIAL INFORMATION

Item 1

A. In the preparation of its interim financial statements, PSE did not change the policies and methods of computation used in its audited financial statements for the period ended 31 December.

The accounting policies and methods of computation used in the audited financial statements as of and for the year ended December 31, 2024 were consistently applied in the interim financial reports.

B. Explanatory comments about the seasonability or cyclicality of interim operations.

None.

C. The nature and amount of items affecting assets, liabilities, equity, net income, or cash flows that are unusual because of their nature, size, or incidents.

In January 2025, the Exchange entered into a term loan facility agreement with two local banks from which initial drawdowns totaling Php900 million were made on January 31, 2025. The loans are payable within a period of 10 years in equal annual principal repayments and carry a fixed interest rate of 6.56% per annum, payable semi-annually.

The proceeds of the loan were used to partially finance the acquisition of PDSHC shares.

D. The nature and amount of changes in estimates of amounts reported in prior interim periods of the current financial year or changes in estimates of amounts reported in financial years, if those changes have a material effect in the current interim period.

None.

E. Issuance, repurchase and repayments of debt and equity securities.

None.

F. Dividends paid (aggregate or per share) separately for ordinary shares and other shares.

Cash Dividends

1. **The Board of Directors in a special meeting held on December 15, 2003 declared a cash dividend of ₱2.00 per share payable on January 8, 2004 to stockholders of record as of January 7, 2004. (1st Declaration)**

2. **The Board of Directors in its special meeting held on February 18, 2004 declared anew cash dividend of ₱16.00 per share on 15,277,513 PSE shares issued or a total of P 244,440,080 to stockholders of record as of March 4, 2004 payable on March 9, 2004.**

3. **The Board of Directors in its regular meeting held on February 9, 2005 declared anew cash dividend of ₱5.00 per share on 15,277,505 PSE shares issued or a total of ₱ 76,387,525 to stockholders of record as of February 28, 2005 payable on March 15, 2005.**

4. **The Board of Directors in its regular meeting held on February 22, 2006 declared anew cash dividend of ₱5.76 per share to stockholders of record as of March 9, 2006 payable on March 24, 2006.**

5. **The Board of Directors in its regular meeting held on February 14, 2007 declared anew cash dividend of ₱8.80 per share to stockholders of record as of March 1, 2007 payable on March 15, 2007.**

6. **The Board of Directors in its regular meeting held on March 26, 2008 declared cash dividend of ₱20.00 per share to stockholders of record as of April 15, 2008 payable not later than May 15, 2008.**

7. **The Board of Directors in its regular meeting held on February 25, 2009 declared cash dividend of ₱8.00 per share to stockholders of record as of March 12, 2009 payable not later than March 25, 2009.**

8. **The Board of Directors in its regular meeting held on March 10, 2010 declared cash dividend of ₱10.00 per share to stockholders of record as of March 25, 2010 payable not later than April 21, 2010.**

9. **The Board of Directors in its regular meeting held on March 9, 2011 declared cash dividend of ₱12.00 per share to stockholders of record as of March 24, 2011 payable not later than April 11, 2011.**

10. **The Board of Directors in its regular meeting held on March 14, 2012 declared cash dividend of ₱ 7.00 per share to stockholders of record as of March 29, 2012 payable not later than April 18, 2012.**

11. **The Board of Directors in its regular meeting held on March 13, 2013 declared cash dividend of ₱ 9.00 per share to stockholders of record as of April 2, 2013 payable not later than April 26, 2013.**

12. **The Board of Directors in its regular meeting held on March 12, 2014 declared cash dividend of ₱ 9.00 per share to stockholders of record as of April 3, 2014 payable not later than April 28, 2014.**

13. **The Board of Directors in its regular meeting held on February 25, 2015 declared cash dividend of ₱ 9.00 per share to stockholders of record as of March 25, 2015 payable not later than April 16, 2015.**

14. **The Board of Directors in its regular meeting held on February 24, 2016 declared cash dividend of ₱7.00 per share to stockholders of record as of March 30, 2016 payable not later than April 25, 2016.**

15. **The Board of Directors in its regular meeting held on February 22, 2017 declared cash dividend of ₱7.00 per share to stockholders of record as of March 31, 2017 payable not later than April 27, 2017.**

16. **The Board of Directors in its regular meeting held on January 24, 2018 declared cash dividend of ₱9.00 per share to stockholders of record as of February 8, 2018 payable not later than March 6, 2018.**

17. **The Board of Directors in its regular meeting held on March 27, 2019 declared cash dividend of ₱8.80 per share to stockholders of record as of April 12, 2019 payable not later than May 10, 2019.**

18. **The Board of Directors in its regular meeting held on February 24, 2021 declared cash dividend of ₱8.00 per share to stockholders of record as of March 22, 2021 payable not later than April 10, 2021.**

19. **The Board of Directors in its regular meeting held on February 16, 2022 declared cash dividend of ₱11.00 per share to stockholders of record as of March 9, 2022 payable not later than April 4, 2022.**

20. **The Board of Directors in its regular meeting held on March 23, 2023 declared cash dividend of ₱10.00 per share to stockholders of record as of April 5, 2023 payable not later than May 5, 2023.**

21. **The Board of Directors in its regular meeting held on February 21, 2024 declared cash dividend of ₱10.00 per share to stockholders of record as of March 8, 2024 payable not later than April 5, 2024.**

22. **The Board of Directors in its regular meeting held on April 28, 2025 declared cash dividend of ₱10.00 per share to stockholders of record as of May 18, 2025 payable not later than May 27, 2025.**

Stock Dividends

1. **The 100% stock dividend declared by PSE was approved by Securities and Exchange Commission on September 10, 2008. It was issued on October 22, 2008 to stockholders of record as of September 26, 2008.**

2. **The 100% stock dividend declared by PSE was approved by Securities and Exchange Commission on June 9, 2011. It was issued on June 8, 2011 to stockholders of record as of May 30, 2011. Listing and trading of shares commenced only upon approval by the SEC of PSE's listing application on June 9, 2011.**

3. **In December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared to stockholders of record as of December 13, 2013. The SEC**

issued an Order dated November 27, 2013 authorizing the issuance of shares to cover the stock dividend declaration. It was issued on January 6, 2014.

G. Segment revenue and segment result for business segments or geographical segments.

In 2023, for management purpose, the Group is organized and managed under a single business segment, the equity, clearing and settlement business. Upon acquisition of additional interest in PDSHC in December 2024, the Group has two business segments which are the equity, clearing and settlement business and depository and fixed income business. These are the basis upon which the Parent Company reports its primary segment information.

H. Material events subsequent to the end of the interim period that have not been reflected in the financial statements for the interim period.

In a Decision dated July 4, 2025, the Court of Tax Appeals granted the Exchange's Petition for Review and Supplemental Petition for Review and cancelled the Formal Letter of Demand and Assessment Notices assessing the Exchange for deficiency taxes for the year 2016 in the total amount of ₱51.17 million. The Final Decision on Disputed Assessment and Assessment Notices were likewise reversed and set aside. The BIR was ordered to refund to the Exchange the amount of ₱51.03 million garnished by and released to BIR during the pendency of the case. BIR filed a Motion for Reconsideration of said Decision. Said Motion for Reconsideration is now deemed submitted for resolution.

I. The effect of changes in the composition of the issuer during the interim period, including business combination, acquisition or disposal of subsidiaries and long term investments.

PSE has gained control of PDSHC as of December 31, 2024.

As of September 30, 2025, PSE has acquired 4,442,553 common shares of Philippine Dealing System Holdings Corp. ("PDSHC"), which represents 71.08% of the outstanding shares of PDSHC, in addition to PSE's existing 20.98% equity interest.

J. Changes in contingent liabilities or contingent assets.

None.

K. Existence of material contingencies and any other events or transactions that are material to an understanding of the current interim period.

See Item 1-C & H.

<u>**Item 2**</u>

A. Any known trends, demands, commitments, events or uncertainties that will have material impact on the issuer's liquidity.

See Item 1-C.

B. Any events that will trigger direct or contingent financial obligation that is material to the company, including any default or acceleration of an obligation.

None.

C. All material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the company with unconsolidated entities or other persons created during the reporting period.

None.

D. Any material commitments for capital expenditure, the general purpose of such commitments and the expected sources of funds for such expenditures.

The Exchange will incur capital expenditures for the upgrade of its trading infrastructure to Nasdaq Eqlipse Trading. With Nasdaq Eqlipse Trading, the PSE will be able to incorporate complementary functionality including pre-trade risk, advanced options pricing, and index calculations. It will also have a flexible deployment model to reduce operational heavy lifting, and provide optionality around cloud adoption.

For the upgrade of its surveillance system, the Capital Markets Integrity Corporation (CMIC) has signed an agreement for the delivery of the Nasdaq Market Surveillance software and related services amounting to US $300,000. The funds for the purpose including the cost of the hardware components will be funded out of CMIC's retained earnings appropriated for the purpose.

E. Any known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales/revenues/income from continuing operations.

Geopolitical tensions, global trade uncertainties, and the domestic infrastructure scandal collectively weakened the equity market.

F. Any significant element of income or loss that did not arise from the issuer's continuing operations.
None.

G. The causes for any material change (10% or more) from period to period in one or more line items on the issuer's financial statements.

PSE has gained control of PDSHC as of December 31, 2024.

As of September 30, 2025, PSE has acquired 4,442,553 common shares of Philippine Dealing System Holdings Corp. ("PDSHC"), which represents 71.08% of the outstanding shares of PDSHC, in addition to PSE's existing 20.98% equity interest.

As such, the financial statements of PDSHC have been consolidated to the financials of PSE.

Please see Management's Discussion and Analysis portion of the report for the significant changes.

H. Any seasonal aspects that had a material effect on the financial condition or results of operations.

None.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
INDEX TO THE SUPPLEMENTARY SCHEDULES
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September 30, 2025

Supplementary Schedules

The Philippine Stock Exchange, Inc. and Subsidiaries
Schedule A. Financial Assets (Cash and Cash Equivalents, AFS Investments and Financial Assets at Fair Value through Profit or Loss)
As of September 30, 2025

Name of Issuing Entity and Association of Each Issue	Number of Shares or Principal Amounts of Bonds and Notes	Market Value Quotation	Amount Shown in the Statement of Financial Position	Income Received and Accrued
Cash and cash equivalents				
Cash on hand	–	₱105,300	₱105,300	₱–
Cash in banks:				
Citibank – Dollar	–	44,462,271	44,462,271	
Metropolitan Bank and Trust Company (MBTC) – Peso	–	1,175,163	1,175,163	
BDO (Ayala Branch) – Peso	–	579,058	579,058	
BDO (Ayala Branch – Dollar	–	582,077	582,077	
BDO (BGC Branch) – Peso	–	29,649,326	29,649,326	
BDO (Ortigas Branch) – Peso	–	56,835	56,835	
BDO (BGC Branch) – Dollar	–	4,721,534	4,721,534	
Rizal Commercial Banking Corporation – Peso	–	8,744,706	8,744,706	
Rizal Commercial Banking Corporation – Dollar	–	182,166	182,166	
Union Bank – Tektite	–	241,583	241,583	
Bank of the Philippine Islands – Peso	–	9,717,459	9,717,459	
Bank of the Philippine Islands – Dollar	–	720,769	720,769	
Bank of the Philippine Islands – Euro	–	35,587	35,587	
City Savings – Peso	–	10,000	10,000	
Security Bank – Peso	–	4,779,528	4,779,528	
Security Bank – Dollar	–	1,060,225	1,060,225	
Chinabank	–	77,107	77,107	
Landbank	–	2,454,323	2,454,323	
PDTC	–	3,278,640	3,278,640	
Deutsche Bank	–	60	60	
	–	112,633,717	112,633,717	131,982
Cash equivalents:				
BDO	–	765,135,228	765,135,228	
City Savings	–	420,805,421	420,805,421	
Chinabank	–	80,735,360	80,735,360	
Bank of the Philippine Islands	–	279,031,086	279,031,086	
Security Bank	–	14,189,236	14,189,236	
RCBC	–	91,326,756	91,326,756	
	–	1,651,223,087	1,651,223,087	66,109,655
	–	₱1,763,856,804	₱1,763,856,804	₱66,241,637

Name of Issuing Entity and Association of Each Issue	Number of Shares or Principal Amounts of Bonds and Notes	Market Value Quotation	Amount Shown in the Statement of Financial Position	Income Received and Accrued
Short-term investments	–	₱82,822,162	₱82,822,162	₱9,802,211
Financial assets at Fair Value through Profit or Loss (FVTPL)				
BDO – Trust and Investments Group	3,526,710	₱219,020,567	₱219,020,567	
MBTC – Peso	5,385,148	402,856,139	402,856,139	
MBTC – Dollar	–	319,375,068	319,375,068	
Security Bank	7,310,833	288,139,657	288,139,657	
PDS	–	1,358,286	1,358,286	
Equity Securities	1	4,000,000	4,000,000	
	16,222,692	₱1,234,749,717	₱1,234,749,717	₱10,158,669
Financial assets at Fair Value through Other Comprehensive Income (FVOCI)				
Debt securities:				
Republic of the Philippines	–	₱809,191,432	₱809,191,432	
Other Companies	–	112,163,753	112,163,753	
	–	₱921,355,185	₱921,355,185	₱31,404,568
Financial Assets At Amortized Cost				
Debt securities:				
Republic of the Philippines	–	₱953,214,224	₱953,214,224	
Other Companies	–	4,643,390	4,643,390	
	–	₱957,857,614	₱957,857,614	₱21,406,517

The Philippine Stock Exchange, Inc. and Subsidiaries
Schedule B. Accounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders (Other than Related Parties)
As at September 30, 2025

Name and Designation of debtor	Balance at beginning of period	Additions	Amounts collected	Amounts written off	Current	Not Current	Balance at end of period
Trading Participants	₱144,235,502	₱864,876,666	₱798,034,040	₱-	₱210,784,060	₱294,067	₱211,078,127
Advances to officers and employees	19,931,928	800,233,745	807,869,249	-	12,296,424	-	12,296,424

There are no receivables which are considered outside of the Company's ordinary course of business as at September 30, 2025.

The Philippine Stock Exchange, Inc. and Subsidiaries
Schedule C. Amounts Receivable from Related Parties which are Eliminated during the Consolidation of Financial Statements
As at September 30, 2025

Name and Designation of debtor	Balance at beginning of period	Additions	Amounts collected	Amounts written off	Current	Not Current	Balance at end of period
Securities Clearing Corporation of the Philippines	₱-	₱201,922,480	₱193,732,480	₱-	₱8,190,000	₱-	₱8,190,000
Capital Markets Integrity Corporation	-	14,012,124	7,494,744	-	6,517,380	-	6,517,380
Premier Software Enterprise, Inc.	3,937,266	1,199,029	251,024	-	1,199,029	3,686,242	4,885,271
Philippine Depository & Trust Corporation	-	2,018,016	1,729,728	-	288,288	-	288,288
Philippine Dealing System and Holdings Corporation	-	2,065	-	-	-	-	2,065
Philippine Dealing and Exchange Corporation	-	155,232	-	-	-	-	155,232

The Philippine Stock Exchange, Inc. and Subsidiaries
Schedule D. Long Term Debt
As at September 30, 2025

Title of Issue and Type of Obligation	Amount Authorized by Indenture	Amount shown under caption "Current portion of long term debt" in related balance sheet	Amount shown under caption "Long term debt" in related balance sheet
Loan payable – Bank term loan	N/A	₱90,000,000	₱810,000,000

The Philippine Stock Exchange, Inc. and Subsidiaries
Schedule E. Indebtedness to Related Parties
As at September 30, 2025

Name	Balance, January 1, 2025	Balance, September 30, 2025
Not Applicable: the Company has no indebtedness to a related party as at September 30, 2025		

The Philippine Stock Exchange, Inc. and Subsidiaries
Schedule F. Guarantees of Securities of Other Issues
As at September 30, 2025

Name of Issuing Entity of Securities Guaranteed by the Company for which this statement is filed	Title of Issue of Each Class of Securities Guaranteed	Total Amount Guaranteed and Outstanding	Amount Owned by Person for which the Statement is filed	Nature of Guarantee
	Not Applicable: the Company has no guarantees of securities of other issuers as at September 30, 2025			

The Philippine Stock Exchange, Inc. and Subsidiaries
Schedule G. Capital Stock
As at September 30, 2025

Title of Issue	Number of Shares authorized	Number of shares issued and outstanding at shown under related balance sheet caption	Number of shares reserved for options, warrants, conversion and other rights	Number of shares held by related parties	Directors, officers and employees	Others
Common Stock	120,000,000	82,267,875*	200,000	5,894,518	543,658	75,829,699

**net of treasury stock of 3,513,952 shares.*
**Including 310,832 subscribed Employee Stock Purchase Plan shares.*